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Allocative Justice as a Constraint on Fiscal Imperialism in International Tax

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Abstract

Taxpayers' cross-border activities often result in two (or more) states claiming the right to tax their income. To address concerns about how those tax liabilities might aggregate and suppress international activities, states typically agree to split the tax base between them. But how can states fairly share tax revenue from cross-border activities? Tax scholars and policymakers offer different normative perspectives to address this inter-nation equity conundrum. In this article, we conceptualize these normative perspectives into two types. One centres on identifying where the economic factors that lead to the ability to produce the income are located (and uses that determination as the basis for an equitable split of taxing rights). Accordingly, a state with a greater degree of economic connection should enjoy a greater share of taxing rights. This perspective, we contend, is distinguishable from the infusion of cosmopolitan distributive justice theory into tax law. The latter approach portrays the redistribution or transfer of tax revenue, a form of tax aid from high-income countries to low-income countries, usually with the goal of funding humanitarian or developmental spending. Perhaps due to ambiguities in the overarching inter-nation equity concept (which seemingly includes cosmopolitan distributive justice) existing tax policy scholarship often fails to adequately distinguish the two perspectives when articulating the justifications for international taxing rights (re)allocation involving low-income countries. This article demonstrates the policy imperatives for distinguishing the two perspectives. For textual and conceptual clarity, we frame the first perspective as "allocative justice" and the latter as "redistributive justice." For low-income countries to escape the trap of fiscal imperialism it is essential that they (as well as international tax policymakers in all states) establish international tax regimes that align with allocative justice and resist tax bargains that unduly cede taxing rights to which they have a justifiable claim. Redistributive justice may also play a role in supporting or explaining tax sharing arrangements between countries, but that framework should not be conflated with allocative justice.

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Allocative Justice as a Constraint on Fiscal Imperialism in International Tax

OKANGA OGBU OKANGA AND KIM BROOKS¹

Taxpayers' cross-border activities often result in two (or more) states claiming the right to tax their income. To address concerns about how those tax liabilities might aggregate and suppress international activities, states typically agree to split the tax base between them. But how can states fairly share tax revenue from cross-border activities?

Tax scholars and policymakers offer different normative perspectives to address this inter-nation equity conundrum. In this article, we conceptualize these normative perspectives into two types. One centres on identifying where the economic factors that lead to the ability to produce the income are located (and uses that determination as the basis for an equitable split of taxing rights). Accordingly, a state with a greater degree of economic connection should enjoy a greater share of taxing rights. This perspective, we contend, is distinguishable from the infusion of cosmopolitan distributive justice theory into tax law. The latter approach portrays the redistribution or transfer of tax revenue, a form of tax aid from high-income countries to low-income countries, usually with the goal of funding humanitarian or developmental spending.

Perhaps due to ambiguities in the overarching inter-nation equity concept (which seemingly includes cosmopolitan distributive justice) existing tax policy scholarship often fails to adequately distinguish the two perspectives when articulating the justifications for international taxing rights (re)allocation involving low-income countries. This article demonstrates the policy imperatives for distinguishing the two perspectives. For textual and conceptual clarity, we frame the first perspective as "allocative justice" and the latter as "redistributive justice." For low-income countries to escape the trap of fiscal imperialism it is essential that they (as well as international tax policymakers in all states) establish international tax regimes that align with allocative justice and resist tax bargains that unduly cede taxing rights to which they have a justifiable claim. Redistributive justice may also play

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a role in supporting or explaining tax sharing arrangements between countries, but that framework should not be conflated with allocative justice.

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INTERNATIONAL TAX LAW² RECOGNIZES two main grounds for a state’s claim of jurisdiction to tax cross-border income: residence and source.³ The former entitles a state to tax the income of its residents irrespective of where that income derives while the latter entitles a state to tax income derived from activities that take place within its geographic boundaries, regardless of where the beneficial owner of the income is located.⁴ Essentially, both source and residence justify a state’s participation in the proceeds of economic activity because both are deemed to provide the conditions for that activity’s success or for the enjoyment of the

2. For the characterization of international taxation as law, see Reuven S Avi-Yonah, “International Tax as International Law” (2004) 57 Tax L Rev 483, DOI: <<https://doi.org/10.2139/ssrn.516382>> [Avi-Yonah, “International Tax”]; Allison Christians, “Hard Law, Soft Law, and International Taxation” (2007) 25 Wis Intl LJ 325; John Bentil, “Situating the International Tax System Within Public International Law” (2018) 49 Geo J Intl L 1219.

3. Michael J Graetz & Michael M O’Hear, “The “Original Intent” of U.S. International Taxation” (1997) 46 Duke LJ 1021, DOI: <<https://doi.org/10.2307/1372916>>; Avi-Yonah, “International Tax,” *supra* note 2. A few countries—the United States and Eritrea—impose tax based on citizenship. On US citizenship taxation, see Ruth Mason, “Citizen Taxation” (2016) 89 S Cal L Rev 169.

4. See David Glikberg, “The Effect of the Statist-Political Approach to International Jurisdiction of the Income Tax Regime—The Israeli Case” (1994) 15 Mich J Intl L 459 at 462-64; Peter Harris & David Oliver, *International Commercial Tax* (Cambridge University Press, 2010), DOI: <<https://doi.org/10.1017/CBO9780511777028>>.

fruits of that activity.⁵ These concepts are designed to capture the threshold of connection required before a state can legitimately tax the income returns to a particular activity (source) or for a state to tax not only the income returns to that activity but also all the returns associated with the person (residence).⁶ Put differently, “residence” and “source” are labels that we ascribe to the nature and degree of connection (nexus) that we consider sensible or sufficient to entitle a state to legitimately tax an activity or a person. These thresholds are typically determined by the prevailing perceptions of economists about what creates economic value for taxpayers.⁷ Given that economists’ perceptions of the factors and conditions that create value and, therefore, determine the degree of connection between a taxpayer and a state, evolve over time, we should expect the thresholds for residence and source taxation to evolve as those underlying factors and conditions do.⁸

International tax regimes—comprising domestic tax legislation and tax treaties—embody the rules of allocation of taxing rights among states. In their domestic tax legislation, states identify the persons and activities that are subject to tax (the tax base) and specify policy-based criteria for taxing them.⁹ Because most states tax their residents (often on income earned anywhere in the world)

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5. See *Economic and Financial Commission Report by the Experts on Double Taxation, Submitted to the Financial Committee on April 5th, 1923*, LONEFO, Financial Committee, LON Doc E.F.S. 73/F. 19 (1923) [1923 Report]; Donald R Whittaker, “An Examination of the O.E.C.D. and U.N. Model Tax Treaties: History, Provisions and Application to U.S. Foreign Policy” (1982) 8 NCJ Intl L 39; Dale Pinto, *E-Commerce and Source-based Income Taxation* (IBFD BV, 2003); Shay Moyal, “Back to Basics: Rethinking Normative Principles in International Tax” (2019) 73 Tax Law 165, DOI: <<https://doi.org/10.2139/ssrn.3386678>>.
 6. See Alexander W Cappelen, “The Moral Rationale for International Fiscal Law” (2001) 15 Ethics & Intl Affairs 97, DOI: <<https://doi.org/10.1111/j.1747-7093.2001.tb00346.x>> [Cappelen, “Moral Rationale”]; Avi-Yonah, “International Tax,” *supra* note 2; Harris & Oliver, *supra* note 4.
 7. See 1923 Report, *supra* note 5.
 8. See Dale Pinto, “Exclusive Source or Residence-Based Taxation - Is a New and Simpler World Tax Order Possible?” (2007) 61 BFIT 277. Pinto underlines various justifications for a shift to either exclusive residence-based or source-based taxation in light of changes imposed by the telecommunications era. As we demonstrate later in this article, changes in the methods of conducting international business—a consequence of digitalization—and the increasing importance of intellectual property have had a massive influence on what modern economists see as driving value for businesses. It is these changes in perception that now drive tax policymakers to try to redefine the threshold for some of the source rules. See generally, Werner Haslechner & Marie Lamensch, eds, *Taxation and Value Creation* (IBFD USA, 2001).
 9. See generally, Canada’s *Income Tax Act*, RSC 1985, c 1 (5th Supp), ss 2(1), 115 (taxation of residents and non-residents, respectively); *Companies Income Tax Act*, Cap C21, LFN 2004 (as amended) (Nigeria), s 13 (taxation of non-resident corporations).

as well as non-residents (on income with a geographic source in the state), it is common for two states (or more) to concurrently have a defensible claim to tax the same income.¹⁰ Historically, tax policy scholars have understood that this jurisdictional overlap could impede cross-border economic activities because it exposes taxpayers to international double taxation (*i.e.*, the situation where income is subject to a greater tax burden than it would bear if it were taxed in only one state), as well as multiple compliance burdens.¹¹ Reducing that potential barrier to international activity necessitates some form of restraint or compromise in the exercise of taxing rights.¹² While each state with a claim to tax may unilaterally ease the double tax burden for its taxpayers by restraining the exercise of its jurisdiction (for example, crediting foreign tax paid or exempt income from tax),¹³ tax treaties were devised as an additional tool to coordinate a sensible interaction between the domestic tax rules of different countries.¹⁴ As a mechanism for further curtailing double taxation, tax treaties reciprocally limit the source country's ability to impose tax (whether by raising the threshold for the imposition of that tax or by providing for maximum rates).¹⁵ The question

10. See Gliksberg, *supra* note 4 at 465.

11. See Harold Wurzel, "Foreign Investment and Extraterritorial Taxation" (1938) 38 Colum L Rev 809, DOI: <<https://doi.org/10.2307/1116739>>; Gliksberg, *supra* note 4 at 464; Paul L Baker, "An Analysis of Double Taxation Treaties and their Effect on Foreign Direct Investment" (2014) 21 Intl J Econs Bus 341, DOI: <<https://doi.org/10.1080/13571516.2014.968454>>.

12. See Diane Ring, "International Tax Relations: Theory and Implications" (2007) 60 Tax L Rev 83 [Ring, "International Tax Relations"].

13. See Graetz & O'Hear, *supra* note 3.

14. See Ke Chin Wang, "International Double Taxation of Income: Relief Through International Agreement 1921-1945" (1945) 59 Harv L Rev 73, DOI: <<https://doi.org/10.2307/1335505>>; Whittaker, *supra* note 5; Ring, "International Tax Relations," *supra* note 12. The agenda of international tax has since evolved to include the prevention of double non-taxation as an equally important objective. See *e.g.*, Reuven S Avi-Yonah, "Who Invented the Single Tax Principle?: An Essay on the History of U.S. Treaty Policy" (2014) 59 NYL Sch L Rev 305, DOI: <<https://doi.org/10.2139/ssrn.2226309>>; Philipp Genschel & Thomas Rixen, "Settling and Unsettling the Transnational Legal Order of International Taxation" in Terence C Halliday & Gregory Shaffer, eds, *Transnational Legal Orders* (Cambridge University Press, 2015) 154, DOI: <<https://doi.org/10.1017/CBO9781107707092>>.

15. See Reuven S Avi-Yonah, "Double Tax Treaties: An Introduction" in Karl P Sauvart & Lisa E Sachs, eds, *The Effect of Treaties on Foreign Direct Investment: Bilateral Investment Treaties, Double Taxation Treaties, and Investment Flows* (Oxford University Press, 2009) at 99, DOI: <<https://doi.org/10.1093/acprof:oso/9780195388534.001.0001>>. For an example of how taxation of royalties by the source country can be excluded, see OECD, *Model Tax Convention on Income and on Capital* (2017), art 12(1) [OECD, *Model Tax Convention*].

of how much limitation should be adopted in each case is separately understood as an administrative issue (where the countries have roughly even trade flows or are both net capital-exporting countries) and as a fairness question (where they do not).¹⁶ In the first case, the tax revenue that is surrendered at source may be recouped by each state through the taxation of its residents that trade in the other state. In the latter case, however, the revenue that is lost to such restrictions (on source taxation) cannot be recouped by the low-income country,¹⁷ since its residents typically would not have similar levels of economic engagement in the other state.¹⁸ The bargain, therefore, results in an often disproportionate and potentially significant loss of tax revenue by the low-income country vis-à-vis the high-income country.¹⁹

16. See Alexander W Cappelen, "National and International Distributive Justice in Bilateral Tax Treaties" (1999) 56 *FinanzArchiv* 424; Peggy B Musgrave, "Interjurisdictional Equity in Company Taxation: Principles and Applications to the European Union" in Sijbren Cnossen, ed, *Taxing Capital Income in the European Union: Issues and Options for Reform* (Oxford University Press, 2000) at 46, DOI: <<https://doi.org/10.1093/oso/9780198297833.001.0001>> [Musgrave, "Interjurisdictional Equity"].
17. For drafting convenience, we use the term "low-income country" (in its singular and plural forms) to include similar terms such as "developing country" and "(net) capital-importing country." Other appellations include "poor," "Global South," "least developed," "less developed," "lower-income," and "low-to middle-income" country. The United Nations (UN) classifies countries into three groups, based on certain development evaluation criteria: developed economies, economies in transition, and developing economies. See United Nations, *World Economic Situation and Prospects* (United Nations, 2020), online (pdf): <www.un.org/development/desa/dpad/wp-content/uploads/sites/45/WESP2020_Annex.pdf> [perma.cc/U5GF-N6LX]. The UN previously adopted a four-tier classification of countries, based on income levels: low-income, lower middle income, upper middle income, and high-income. See United Nations, *World Economic Situation and Prospects* (United Nations, 2014), online (pdf): <www.un.org/en/development/desa/policy/wesp/wesp_current/2014Chap1_en.pdf> [perma.cc/LD8P-93YQ]. We also adopt the phrase "high-income country" as a working term for countries on the more positive side of the development index. This phrase, as we use it, encapsulates terms like "developed country," "(net) capital-exporting country," and "Global North" country.
18. See AJ Easson, *International Tax Reform and the Inter-Nation Allocation of Tax Revenue* (Victoria University Press, 1991); Diane Ring, "Democracy, Sovereignty and Tax Competition: The Role of Tax Sovereignty in Shaping Tax Cooperation" (2009) 9 *Fla Tax Rev* 555, DOI: <<https://doi.org/10.5744/ft.2009.1053>> [Ring, "Democracy"]; Kim Brooks & Richard Krever, "The Troubling Role of Tax Treaties" in Geerten MM Michiels & Victor Thuronyi, eds, *Tax Design Issues Worldwide* (Kluwer Law International, 2015) at 159.
19. See Julia Braun, "The Effects of Double Tax Treaties for Developing Countries. A Case Study of Austria's Double Tax Treaty Network" (2016) 16 *Pub Finance & Management* 383, DOI: <<https://doi.org/10.1177/152397211601600404>>; Martin Hearson, "When Do Developing Countries Negotiate Away Their Corporate Tax Base" (2018) 30 *J Intl Development* 233, DOI: <<https://doi.org/10.1002/jid.3351>> [Hearson, "Developed Countries"].

Tax scholars and policymakers have long grappled with the fairness conundrum of international tax bargains.²⁰ Their perspectives on the subject may be classified into two categories. One school of thought highlights the distributional disparities in international tax bargains (as described above) and advocates reforms that would preserve the taxing rights of states perceived to be on the receiving end of unfair bargains (low-income countries).²¹ For distinction, we label this normative perspective “allocative justice.” Allocative justice aims to preserve the rights of low-income countries to tax income over which they have a normative justification to tax and the pragmatic capacity to do so.²² On the other side of the coin is the school of thought that approaches international tax fairness by illuminating the socio-economic challenges of low-income countries and championing the use of the international tax system to mobilize and channel developmental aid to low-income countries (“tax aid”). Here, tax scholars frame the fairness narrative around aligning the international tax regime with some

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20. See Charles R Irish, “International Double Taxation Agreements and Income Taxation at Source” (1974) 23 ICLQ 292 at 294, DOI: <<https://doi.org/10.1093/iclqaj/23.2.292>>. Irish notes at 294:

There appear to be several reasons for the emphasis on residence in tax agreements between developed countries. Probably the fundamental reason is that the emphasis on residence represents the more favorable alternative for the country with the stronger bargaining position. Frequently countries have an interest in capital, technology and services possessed by the taxpayers of other countries. In such instances, the “interested” country is the potential source country and the other is the potential residence country. As between the two countries, the potential residence country thus has the stronger economic position and the evidence indicates that it has used its superior position to “persuade” the source country to forgo tax revenues so as to insure availability of the desired capital, technology and services. This apparently is what happened immediately after World War II between the countries of Western Europe and the United States. At that time, the Western European countries were very interested in attracting United States capital and technology to rebuild and modernize their war-ravaged economies. In order to ensure the unfettered flow of such capital and technology into their economies, these countries accepted tax agreements with the United States with a heavy emphasis on the residence principle.

21. See Brooks & Krever, *supra* note 18; Braun, *supra* note 19; Michael Lennard, “Act of Creation: The OECD/G20 Test of ‘Value Creation’ as a Basis for Taxing Rights and Its Relevance to Developing Countries” (2018) 25 Transnat’l Corp 55, DOI: <<https://doi.org/10.18356/3db18835-en>>.
22. The subject of normative entitlement to tax (tax jurisdiction) is discussed in Part II.

form of humanitarian or development agenda, *e.g.*, sustainable development.²³ We label this narrative perspective “redistributive justice,” to the extent that it contemplates the redistribution of “tax aid” from high-income countries to low-income countries. While this article challenges neither the moral underpinnings of redistributive justice nor its ultimate potential to advance similar developmental goals as allocative justice, we contend that redistributive justice does not provide a normative rationale for the allocation of taxing rights. Further, the frequent conflation of allocative and redistributive perspectives undermines conceptual clarity in debates about the allocation of taxing rights and the underlying justifications for international tax reform. We emphasize that the notion of tax aid or tax redistribution contemplates providing tax revenue to a state that otherwise lacks a normative basis or entitlement to collect that tax. This, for us, is a core reason to unpack the conflation of redistributive justice and the concept of inter-nation equity. Inter-nation equity fundamentally, and importantly, requires attention to allocative justice, independent of any claim that high-income states should provide tax aid to low-income states.

This article, therefore, makes two major contributions. Part I contends that conventional policy thinking about international tax justice could be clearer and more responsive to the fiscal imperialism experienced by low-income countries if it is recognized that inter-nation equity has been portrayed as encompassing two distinct ideas: allocative justice and redistributive justice. However, only one of these ideas—allocative justice—must underpin the distribution of taxing rights between countries that are entitled to tax. Therefore, when scholars—and policymakers—articulate international tax reform without distinctly identifying their underlying justice perspective (either allocative justice or redistributive justice), such articulation can become less coherent and effective in presentation. Part II demonstrates how three factors—wealth creation, tax administration, and economic and political power—connect to define a state’s tax jurisdiction as well as its appropriate taxing rights allocation. Here, we aim to dispel the notion that there is a “right” (and unchanging) initial distribution of taxing rights between states. Instead, we argue that as factors that define tax jurisdiction (and its allocation) evolve, states must be ready to adjust existing taxing rights allocation

23. See *e.g.*, Irma Johanna Mosquera Valderrama, Dries Lesage & Wouter Lips, “Tax and Development: The Link Between International Taxation, The Base Erosion Profit Shifting Project and The 2030 Sustainable Development Agenda” (2018) United Nations University, Working Paper No W-2018/4; Miranda Stewart, “Redistribution Between Rich and Poor Countries” (2018) 72 *BFIT* 297, DOI: <<https://doi.org/10.59403/1mnx812>>; Allison Christians & Tarcisio Diniz Magalhães, “A New Global Tax Deal for the Digital Age” (2019) 67 *Can Tax J* 1153, DOI: <<https://doi.org/10.32721/ctj.2019.67.4.sym.christians>>.

bargains—*e.g.*, the thresholds for source and residence taxation—to respond to these changes. Doing so would be consistent with the imperatives of allocative justice, while the unwillingness of high-income states to embrace reforms that deepen allocative justice reflects ongoing fiscal imperialism.

I. ALLOCATIVE JUSTICE: REIMAGINING INTER-NATION EQUITY TO REDUCE FISCAL IMPERIALISM AND STRENGTHEN THE GLOBAL FISCAL NET

This Part discusses the concern that we have identified in the tax scholarship and policy literature: that a clearer appreciation of inter-nation equity is required to ensure low-income countries are able to develop robust tax systems. At a general level, inter-nation equity connotes the overarching idea that taxing rights should be “fairly” distributed between countries. It is a concept that is (has always been) relevant to all countries, regardless of economic status.²⁴ According to Nancy

24. The historical picture of international tax relations underscores the fact that countries' sensitivity towards reaching compromises that are fair or that do not unduly deplete their tax base has been a major drag on the negotiation of international tax agreements. These sensitivities were partly responsible for the protracted negotiations of the initial bargain between the two World Wars. See Sol Picciotto, *International Business Taxation*, 2nd ed (Cambridge University Press, 2013); Genschel & Rixen, *supra* note 14. These sensitivities still prevail today as tax policymakers from different countries try to negotiate a multilateral agreement for taxation of the digital economy. See *e.g.*, Julie Martin, “OECD report reveals disagreement on taxation of digital firms” (16 March 2018), online: *MNE Tax* <mnetax.com/oecd-interim-report-reveals-disagreement-among-nations-on-taxation-of-digital-firms-26655> [perma.cc/Z83P-UN2K]; Silvia Amaro, “A Deal to Tax Tech Giants is Still Possible this Year, Irish Finance Minister Claims,” *CNBC* (28 August 2020), online: <www.cnb.com/2020/08/28/digital-tax-deal-at-the-oecd-possible-in-2020-says-irelands-donoghoe.html> [perma.cc/6VPE-XU59]; Aaron Lorenzo & Mark Scott, “5 Things that Could Stop a Global Tax Deal,” *Politico* (8 June 2021), online: <www.politico.eu/article/tax-reform-g7-oecd> [perma.cc/TB73-SX4R]; PwC, “US Compromises with the UK, France, Italy, Spain and Austria on Digital Services Taxes and Trade Actions” (25 October 2021), online (pdf): <www.pwc.com/gx/en/tax/newsletters/tax-policy-bulletin/assets/pwc-us-compromises-on-dsts-and-trade-actions.pdf> [perma.cc/5V27-5SRX]; West African Tax Administrative Forum, “WATAF Commentary on the OECD/G20 Inclusive Framework Two-Pillar Solution to Address the Tax Challenges” (8 October 2021), online: <wataf-tax.org/2021/10/27/wataf-commentary-on-the-oecd-g20-inclusive-framework-two-pillar-solution-to-address-the-tax-challenges-arising-from-the-digitalisation-of-the-economy> [perma.cc/AK9Y-JANW]; African Tax Administration Forum, “A New Era of International Taxation Rules – What Does This Mean for Africa?” (8 October 2021), online: <www.ataftax.org/a-new-era-of-international-taxation-rules-what-does-this-mean-for-africa> [perma.cc/UD4M-UYUL]; FE Bureau, “India, Others Oppose OECD Plan on Future

H. Kaufman, one of the earliest legal scholars to engage with the concept, fairness exists in the international tax system only when states distribute the competence to tax among themselves in a way that conforms to prevailing views of justice internationally.²⁵ Inter-nation equity was originally conceptualized by economist Peggy B. Musgrave, who continued to elaborate on the concept with her husband and co-author, Richard Musgrave. In their framing, the concept relates to the fundamental question of how to divide the gains derived from the cross-border movement of labour and capital.²⁶ Inter-nation equity also relates to the distribution of the competence to tax among countries, as against the relative amounts of tax paid by individual taxpayers.²⁷ Accordingly, inter-nation equity is not predicated on the allocation of tax revenue, but rather on the allocation of national gain, which is impacted only by the source country's decision to tax (or not to tax) the gain.²⁸ The tax decisions of the residence state are irrelevant.²⁹ In this classical sense, any bargain that fetters the source country's entitlement to tax income flowing out from its borders engages inter-nation equity.

Digital Taxes" (19 August 2022), online: <www.financialexpress.com/economy/india-others-oppose-oecd-plan-on-future-digital-taxes/2635574> [perma.cc/8KEA-ZFT6].

25. See "Equity Considerations in International Taxation" (2001) 26 Brook J Intl L 1465 at 1467.
26. See Richard A Musgrave & Peggy B Musgrave, "Inter-nation Equity" in Richard M Bird and John G Head, eds, *Modern Fiscal Issues: Essays in Honor of Carl S. Shoup* (University of Toronto Press, 1972) at 63, DOI: <<https://doi.org/10.3138/9781442631984-006>> [Musgrave & Musgrave, "Inter-nation Equity"]. Peggy Musgrave pioneered the concept in 1963. See Peggy Brewer Richman, *Taxation of Foreign Investment Income: An Economic Analysis* (Johns Hopkins University Press, 1963).
27. See Kaufman, *supra* note 25 at 1470.
28. See Musgrave & Musgrave, "Inter-nation Equity," *supra* note 26; Kim Brooks, "Inter-Nation Equity: The Development of an Important but Underappreciated International Tax Value" in John G. Head and Richard Krever, eds, *Tax Reform in the 21st Century: A Volume in Memory of Richard Musgrave* (Kluwer Law International, 2009) at 473-74.
29. *Ibid.*

The concept of inter-nation equity underpins much international tax policy scholarship and tax system design.³⁰ The idea's relevance has been amplified by the increasing realization that the international tax regime—a bargain that was negotiated since the 1920s—does not fairly distribute taxing rights between

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30. Since the seminal works of the Musgraves, international tax scholars have drawn on inter-nation equity to address numerous issues of fairness in bilateral or multilateral tax bargains. See *e.g.*, Musgrave & Musgrave, “Inter-nation Equity,” *supra* note 26. In international tax discourse, the concept of inter-nation equity is utilized for various purposes. See *e.g.*, Klaus Vogel, “Worldwide vs. Source Taxation of Income – A Review and Re-evaluation of Arguments (Part III)” (1988) 16 *Intertax* 393, DOI: <<https://doi.org/10.54648/TAXI1988068>> (discussing the appropriateness of residence-based worldwide taxation); Joel P Trachtman, “International Regulatory Competition, Externalization, and Jurisdiction” (1993) 34 *Harv Intl LJ* 47 (examining the regulation of tax competition); OECD, *Addressing the Tax Challenges of the Digital Economy, Action 1 - 2015 Final Report* (OECD, 2015), online: <www.oecd-ilibrary.org/taxation/addressing-the-tax-challenges-of-the-digital-economy-action-1-2015-final-report_9789264241046-en> [perma.cc/8Q3T-4KC4] (for the allocation of taxing rights to the country where economic activities occur and where value is created); Justus Eisenbeiss, “BEPS Action 7: Evaluation of the Agency Permanent Establishment” (2016) 44 *Intertax* 481, DOI: <<https://doi.org/10.54648/TAXI2016039>>; Sven Hentschel, *The Taxation of Permanent Establishments: A Critical Analysis of the Authorised OECD Approach and Its Implementation in German Tax Law under Specific Consideration of the Challenges Imposed to the PE Concept by the Digitalisation of the Economy* (Springer, 2020) at 381, DOI: <<https://doi.org/10.1007/978-3-658-34000-1>> (supporting the expansion of the existing concept of permanent establishment to include sales jurisdictions); Duncan Bentley, “Taxpayer Rights and Protections in a Digital Global Environment” in Robert F van Brederode, ed, *Ethics and Taxation* (Springer, 2020) at 251, DOI: <https://doi.org/10.1007/978-981-15-0089-3_11> (buttressing a jurisdiction's responsibility to protect the rights of its taxpayers in a global digital environment); Alexander Ezenagu, *Unitary Taxation of Multinational Enterprises for a Just Allocation of Income: Nigeria as a Case Study of Africa's Largest Economies* (McGill University Libraries, 2019) (arguing that a shift to a global unitary tax system based on profit allocation by formulary apportionment approach will achieve fairer distribution of taxing rights); Irene JJ Burgers, “Value Creation and Inter-Nation Equity” in Werner Haslehnner & Marie Lamensch, eds, *Taxation and Value Creation* (IBFD, 2021) at 171, DOI: <<https://doi.org/10.59403/g6321m008>> (exploring whether the “value creation” basis of profit attribution would result in a fairer distribution of taxing rights, in the context of the OECD-led international tax reform efforts); Ariel Hakim P Lubis & Ning Rahayu, “Emphasizing Inter-Nation Equity in the New Digital Economy's Taxing Rights Allocation Scheme” (2021) 11 *Intl J Scientific & Research Publications* 402, DOI: <<https://doi.org/10.29322/IJSRP.11.07.2021.p11553>> (examining the prospects of fairness in the evolving OECD/G20 Pillar 1 tax bargain).

high-income countries and low-income countries.³¹ The issue that we address in this Part, however, is the way that inter-nation equity has been engaged and articulated in tax scholarship. We are concerned that in their pervasive use of the concept, scholars and policymakers invoke inter-nation equity, in a sometimes-underdeveloped way, to cover both the preservation of the taxing rights of low-income countries and the transfer of tax aid from high-income countries to low-income countries.³² In this Part, we review six scholarly contributions that grapple with inter-nation equity from these two perspectives. The result is proposals that call on high-income states to increase their transfers of taxing rights (or tax revenues) to low-income states in the same kinds of circumstances that reflect transfers of government aid.

A good starting point is the decision-rule proposed by a prominent international tax justice scholar, Reuven S. Avi-Yonah, arguing in support of a practical use of inter-nation equity:

The concept of inter-nation equity can be given practical meaning in the design of international tax rules if it is interpreted as embodying explicit redistributive goals.

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31. See Irish, *supra* note 20; Brooks & Krever, *supra* note 18; David Quentin, “Corporate Tax Reform and ‘Value Creation’: Towards Unfettered Diagonal Re-Allocation Across the Global Inequality Chain” (2017) 7 Accounting Econs & L 1, DOI: <<https://doi.org/10.1515/ael-2016-0020>>; Christians & Magalhães, *supra* note 23; Laurens van Apeldoorn, “Exploitation, International Taxation, and Global Justice” (2019) 77 Rev Soc Econ 163, DOI: <<https://doi.org/10.1080/00346764.2018.1525759>>; Cassandra Vet, Danny Cassimon & Anne Van de Vijver, “Getting the Short End of the Stick: Power Relations and Their Distributive Outcomes for Lower-Income Countries in Transfer Pricing Governance” in Irma Johanna Mosquera Valderrama, Dries Lesage & Wouter Lips, eds, *Taxation, International Cooperation and the 2030 Sustainable Development Agenda* (Springer, 2021) at 3, DOI: <<https://doi.org/10.1007/978-3-030-64857-2>>.
32. This fluid use of the concept has led some scholars to interrogate the meaning and scope of “inter-nation equity.” See Brooks, *supra* note 28 at 473. Brooks observes at 473 that

[g]iven that this 1972 essay forms the starting place for the analysis that follows; has been frequently misunderstood and inadequately developed by subsequent scholars; and constitutes the first major contribution to our understanding of inter-nation equity, a relatively detailed discussion of the argument made in the piece seems appropriate.

See also Ivan Ozai, “Inter-nation Equity Revisited” (2020) 12 Columbia J Tax L 58, DOI: <<https://doi.org/10.52214/cjtl.v12i1.7412>>. Ozai observes at 59, 61 that

[i]nter-nation equity has become a vague enough term that it is used to justify virtually any possible stance on how to distribute the international tax base while giving the impression that such a stance, because it is purportedly aligned with the concept of inter-nation equity, is grounded in some sense of fairness between nations.... The concept of inter-nation equity is now ubiquitous in the tax literature. Commentators have applied the concept to a wide array of subjects, frequently beyond the scenarios envisaged by the Musgraves themselves.

More specifically, when a choice is presented between two otherwise comparable alternative rules, one of which has progressive and the other regressive implications for the division of the international tax base between poorer and richer countries, the progressive rule should be explicitly preferred to the regressive one. In the absence of a world taxing authority that can redistribute tax revenues directly, and *given the paucity of foreign aid from developed to developing countries*, such a concept of international equity has the best chance of achieving meaningful distributive goals.³³

Avi-Yonah makes a bold case for fairer taxing rights distribution between high-income and low-income countries (inter-nation equity). However, the author partly hinges their case for international taxing rights reform on the “paucity of foreign aid” from high-income countries to low-income countries. This comingling of justifications not only suggests that aid and taxing rights allocation reform are interchangeable mechanisms for achieving international distributive goals, the reference to a “paucity of foreign aid” also portrays fairer taxing rights allocation as a form of aid (tax aid) that complements the flow of foreign aid from other sources.

A similar narrative underlies the proposals of other international tax scholars. An example is Ilan Benshalom’s proposal to use international tax rules to advance an international redistributive agenda with respect to taxing interest payments and corporate income tax.³⁴ Benshalom, the Frieda & Solomon B. Rosenzweig Chair in Law at the Hebrew University of Jerusalem, recommends that rich resident countries wholly forgo their right to tax these income types so that low-income source countries can freely exercise their full rate taxing rights without risking a loss of taxpayers’ investment due to the burden of heavy double taxation. He opines that “allocating more of the right to tax to poorer developing countries is a form of wealth transfer.”³⁵ The two forms of “wealth transfer” envisaged to emerge from this waiver are revenue and development.³⁶ Benshalom

33. “Globalization, Tax Competition, and the Fiscal Crisis of the Welfare State” (2000) 113 Harv L Rev 1573 at 1649, DOI: <<https://doi.org/10.2307/1342445>> [emphasis added]. Avi-Yonah supports this proposition with the assessment that

[s]ome of the current practice of international taxation can be interpreted as reflecting concern for the relatively greater revenue needs of poorer countries. In particular, the widespread acceptance of the source country’s right to levy its tax first and of the imposition of the burden of alleviating double taxation on the residence country partly reflects the position of the poorer (capital-importing) countries in the 1920s (*ibid*).

34. See “How to Redistribute? A Critical Examination of Mechanisms to Promote Global Wealth Redistribution” (2014) 64 UTLJ 317 at 320, DOI: <<https://doi.org/10.3138/utlj.0717>>.

35. *Ibid* at 334.

36. *Ibid* at 334-35.

reckons that “the redistributive effort can be either an independent enterprise to reduce inequality and poverty or part of a greater, international coordinative deal in which the redistributive policy supplements other coordinative policies.”³⁷

In a third illustration, Anthony C. Infanti, the Christopher C. Walthour, Sr. Professor of Law at the University of Pittsburgh, observes that discussion of inter-nation equity has overly focused on using the yardstick of relative per capita income between countries as a basis for income redistribution.³⁸ Infanti contends that this approach is limited because per capita income does not adequately demonstrate the state of a country’s need for tax revenue and advocates that the human development index (HDI), or human development report (HDR), should, instead, be leveraged to make decisions about development policy. Proponents of Infanti’s approach believe it is more effective in supporting richer countries to determine where and how to channel tax aid to poorer countries.

Infanti conceptualizes tax expenditures such as foreign tax credits and exemptions granted by a resident country and withholding tax concessions granted by a source country—through domestic legislation or tax treaties—as tax aid to the other country (treaty partner). He proposes the use of a sliding scale by countries to streamline how recipient countries can benefit from tax expenditures. The sliding scale ties tax aid to a country’s HDI profile, so that governments can receive “foreign aid” based on their continued performance in human development:³⁹ “[I]f a country is not significantly advancing human development, it is not likely to be an appropriate target for (direct or indirect) development assistance given the strong possibility that any assistance might not actually be used to advance development.”⁴⁰ Therefore, countries that fail to fulfill the development agenda for their populace may be denied further tax aid. This would discourage taxpayers from investing in those countries.

More recently, the need for revenue mobilization for sustainable development as a justification for improved taxing rights allocation to low-income countries

37. *Ibid* at 319.

38. See “International Equity and Human Development” in Yariv Brauner & Miranda Stewart, eds, *Tax Law and Development* (Edward Edgar, 2013) at 209, DOI: < <https://doi.org/10.4337/9780857930019.00020>>.

39. *Ibid* at 231-34.

40. *Ibid* at 235 [emphasis added].

has featured prominently in international tax scholarship.⁴¹ For instance, Allison Christians, the H. Heward Stikeman Chair in the Law of Taxation at McGill, and Tarcisio Magalhães, a professor at the University of Antwerp Faculty of Law, advance the argument that the ongoing international tax reforms—the Base Erosion and Profit Shifting (BEPS) project—being managed by the Organisation for Economic Cooperation and Development (OECD) should be tailored to incorporate “other pressing international policy programs that are simultaneously under development, *most notably a global commitment to building institutions that support sustainable economic development*.”⁴² Thus, the authors urge countries to summon the collective political will to tailor the evolving international tax regime towards revenue mobilization in low-income countries to “meet the targets for sustainable and inclusive growth and development.”⁴³ In their view, this approach would help to avoid the “distributional impacts of the flawed system that the tax policy architects of the early twentieth century forged to satisfy the political preferences of their day.”⁴⁴ The authors express dismay that

given that the United Nations, the OECD, the International Monetary Fund, the World Bank, and other key policy-making bodies, in addition to taking notice of the rise of digitalization as a global phenomenon, have simultaneously identified the need to mobilize revenue in developing countries in order to meet targets for sustainable and inclusive growth and development.⁴⁵

It is surprising that “these goals seem nowhere to be found among the various discussions surrounding the urgent need for action in redefining taxing

41. See e.g., Valderrama, Lesage & Lips, *supra* note 23; Alex Cobham, Tommaso Faccio & Valpy FitzGerald, “Global Inequalities in Taxing Rights: An Early Evaluation of the OECD Tax Reform Proposals” (2019) SocArXiv, DOI: <<https://doi.org/10.31235/osf.io/j3p48>>; Alexander Ezenagu, *Unitary Taxation of Multinationals: Implications for Sustainable Development*, New Thinking on SDGs and International Law, Policy Brief No 4 (Centre for International Governance Innovation, 2019); Martin Hearson, Joy W Ndubai & Tovony Randriamanalina, *The Appropriateness of International Tax Norms to Developing Country Contexts*, FACTI Background Paper 3 (FACTI, 2020); Tarcisio Diniz Magalhães & Ivan Ozai, “A Different Unified Approach to Global Tax Policy: Addressing the Challenges of Underdevelopment” (2021) 4 Nordic J on L & Society 1 at 18, DOI: <<https://doi.org/10.36368/njolas.v4i01.190>>; Sarah Ganter, “Digital Taxes for Sustainable Development?” (2021) 36 Digitalisation & Sustainability 49, DOI: <<https://doi.org/10.14512/OEWO360149>>.

42. Christians & Magalhães, *supra* note 23 at 1175 [emphasis added].

43. *Ibid* at 1176.

44. *Ibid*.

45. *Ibid*.

rights in the name of fairly sharing the tax base among all members of the Inclusive Framework.”⁴⁶

Oladiwura Ayeyemi Eytayo-Oyesode, in work leading to a PhD in law at Dalhousie University, contends that the restrictive source rules contained in the tax treaty framework, generally, and in Nigeria’s tax treaties, specifically, impede the application of inter-nation equity and are, therefore, unjust to low-income countries, especially because these rules lead to significant revenue losses in such countries.⁴⁷ The author expresses disillusionment with the fact that this issue has not received the required attention in international fora. They advocate that the OECD BEPS project, which is tackling the issue of “treaty abuse,” should expand “treaty abuse” to include “situations where profits which, otherwise would have become taxable in source countries, are being shifted to resident countries based on the provisions of tax treaties.”⁴⁸ The author further contends that “although the UN is discussing the fulfillment of the Sustainable Development Goals in developing countries, there has been no discussion around the reform of the allocation rules which would secure more tax revenue for developing countries to aid, among others, their efforts to achieve those development goals.”⁴⁹

Finally, Tatiana Falcão, a senior tax lawyer working in international taxation and policy development with a variety of organizations including the United Nations, makes an explicit attempt to link inter-nation equity with overseas/official development assistance (ODA).⁵⁰ The author asserts that “bilateral tax treaties are concerned with tax base allocation between states, splitting them into source and residence countries,” but notes that

[w]ithin the realm of ODA...the primary concern is redistribution and assistance granted by rich countries to poor. However, redistribution is significantly affected by tax considerations....If improperly attuned, the interaction between redistribution and taxation — two seemingly distinct but parallel cash flow and transfer networks

46. *Ibid* at 1177.

47. “Source-Based Taxing Rights from the OECD to the UN Model Conventions: Unavailing Efforts and an Argument for Reform” (2020) 13 L & Development Rev 193, DOI: <<https://doi.org/10.1515/ldr-2018-0073>>.

48. *Ibid* at 223.

49. *Ibid* at 224.

50. “Linking Policies: Inter-Nation Equity, Overseas Development Assistance, And Taxation” (2018) 91 Tax Notes Intl 1211 [Falcão, “Linking Policies”]. The OECD defines “official development assistance” (ODA) as grants or loans in foreign countries and territories (developing countries) and multilateral agencies active in development that are: “undertaken by the official sector; with the promotion of economic development and welfare as the main objective, at concessional financial” terms. See Richard Manning, *Development Co-operation Report* (OECD, 2005) at 260.

— can create a system that first allocates most (or as many as possible) taxing rights to the resident state, and then requires the residence state to donate a part of the accumulated resources to the source state through direct or indirect transfers in the form of ODA.⁵¹

The author further observes that ODA does not allow low-income countries to claim “national ownership” over developmental projects and that a better way to effect redistribution is through the tax system. The author proposes that both the OECD and the UN model tax treaties be revised to redistribute taxing rights, to mobilize the tax revenue that low-income countries require to chart their own development. Citing already existing examples, the author concludes that this objective can be achieved through a broader-scale adoption of bilateral tax treaty structures through which high-income countries “concede to an uneven allocation of source taxing rights, particularly when entering into a treaty with a developing country.”⁵²

We do not dispute the aspirations of these contributions, nor do we deny the possibility that allocative justice in the distribution of taxing rights can ultimately facilitate the same ends as redistributive justice (bringing greater revenue resources to less-developed countries). However, a worrisome narrative that flows through these pieces is a lack of clear distinction between, on the one hand, inter-nation equity as a policy driver for preserving the taxing rights of low-income countries (which could ultimately mean more tax revenue retained for development) and, on the other hand, the tax system as a mechanism for the transfer of aid to low-income countries. We are concerned that when the conversation is framed this way, it becomes difficult to distinguish whether the contention is that international tax rules should be changed because they unfairly restrict the taxing rights of low-income countries—as a matter of tax (allocative) justice—or that the rules, although not unfairly restrictive (of, say, source taxation), should nevertheless be changed to channel aid from high-income countries to low-income countries; perhaps because even the “fair share” being received by low-income countries is not sufficient to address their developmental needs.

Practically, the tax aid narrative conveys the impression that low-income countries’ engagement with international tax reform projects like the OECD BEPS project is not about eradicating base erosion that arises from the unfair design of existing international tax regimes (which tend to favour high-income countries),

51. Falcão, “Linking Policies,” *supra* note 50 at 1211.

52. *Ibid* at 1215. See also Stewart, *supra* note 23. Stewart identifies “concessional tax treaty rules” as one of the mechanisms through which rich countries can discharge their obligation to help poor countries develop.

but a cap-in-hand expedition for tax aid.⁵³ The narrative therefore potentially displaces a more robust confrontation of the inter-nation equity problem: the view that fairer allocation of taxing rights is founded on entitlement and is really about eradicating structures in the international tax regime that unjustly fetter low-income countries' capacity to tax income that is sourced from their territory. More insidiously, the focus on tax as aid reinforces the continued centring of the power of high-income states (*to give*) instead of focusing on the imperialistic and paternalistic design of the tax regime in the first place (*to take*). Apart from providing a pretext for high-income states to deflect from meaningful reform by projecting their ODA efforts (which they solely control) as a more genuine and effective substitute, designing tax rules so that high-income countries must be compelled to offer "tax aid" perpetuates the long history of fiscal imperialism by high-income states.⁵⁴ Only by reimagining the analytical framework to emphasize

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53. This might even be considered counterintuitive given the implicitness that the whole idea of the BEPS project is to eradicate base erosion, which would ultimately amount to greater revenue retention.
54. Authors have variously used the phrase "fiscal imperialism" to discuss undue influence or control by one country (or group of countries) over the tax policies or systems of other countries. "Fiscal" means that which relates to government revenue, especially taxes. "Imperialism," on the other hand, refers to a policy, usually by economically and militarily more developed states, to extend their power and influence through diplomacy or force over less developed states. See Sergio André Rocha, "The Other Side of BEPS: 'Imperial Taxation' and 'International Tax Imperialism'" in Sergio André Rocha & Allison Christians, eds, *Tax Sovereignty in the BEPS Era* (Kluwer Law International, 2017) 179 at 188 [Rocha, "The Other Side of BEPS"]. See e.g., William Vickrey, "An Updated Agenda for Progressive Taxation" (1992) 82 Am Econ Rev 257 at 260 (identifying elements of fiscal imperialism in the design of US foreign tax credit rules, which put "pressure on foreign countries to adapt their taxes to the US definition of a creditable tax"); Terry Dwyer, "The New Fiscal Imperialism" (2002) 18 Policy 12, DOI: <<https://doi.org/10.1080/10957960390237432>>; Ronald Saunders, "The Fight Against Fiscal Colonialism: The OECD and Small Jurisdictions" (2002) 91 The Round Table 325, DOI: <<https://doi.org/10.1080/0035853022000010317>> (both decrying the OECD's attempt to impose anti-tax competition policies on certain non-OECD countries—so-called low tax jurisdictions); Andrew F Quinlan, "FATCA and US Fiscal Imperialism Threaten to Sink Global Economy," *The Daily Caller* (19 March 2013), online: <dailycaller.com/2013/03/19/fatca-and-us-fiscal-imperialism-threaten-to-sink-global-economy> [perma.cc/US3R-GYPQ] (criticizing the US government's FATCA regime for its impact on foreign financial institutions); Bruce W Bean & Abbey L Wright, "The U.S. Foreign Account Tax Compliance Act: American Legal Imperialism?" (2015) 21 ILSA J Intl & Comp L 333; Chris Berg & Sinclair Davidson, "'Stop This Greed': The Tax-Avoidance Political Campaign in the OECD and Australia" (2017) 14 Econ J Watch 77 at 90 (arguing that the OECD pressuring countries to tax where they otherwise would choose not to tax could be viewed as a form of fiscal imperialism); Rocha, "The Other Side of BEPS," *supra* note 54 (describing the OECD BEPS framework as a form of "international

inter-nation equity as a distinct pursuit of allocative justice is there potential to level the playing field between high-income and low-income states.

Framing the international tax reform debate in redistributive justice language could also attenuate the bargaining position of low-income countries by foisting on them the burden of establishing a normative justification of cosmopolitan distributive justice⁵⁵ or, more tenuously, a “duty of assistance” from high-income

tax imperialism,” whereby, under the guise of multilateralism, the “International Tax Regime” may be reshaped in favour of developed countries); Tarcisio Diniz Magalhães, “What Is Really Wrong with Global Tax Governance and How to Properly Fix It” (2018) 10 WTJ 499 at 511, DOI: <<https://doi.org/10.59403/d1ykhw>> (describing the current international tax rules as a form of international fiscal imperialism, citing Sergio André Rocha, “International Fiscal Imperialism and the “Principle” of the Permanent Establishment” (2014) 68 BFIT 2, DOI: <<https://doi.org/10.59403/fer44m>> and Ricardo Garcia Antón, “The 21st Century Multilateralism in International Taxation: The Emperor’s New Clothes?” (2016) 8 WTJ 2, DOI: <<https://doi.org/10.59403/2y303hz>> [Magalhães, “What Is Really Wrong”]); Afton Titus, “Global Minimum Corporate Tax: A Death Knell for African Country Tax Policies?” (2022) 50 Intertax 414, DOI: <<https://doi.org/10.54648/TAXI2022038>> (rejecting certain arguments advanced in favour of developing countries embracing the OECD-designed Pillar Two global minimum tax framework). In adopting the terminology, we contend that the sometimes-conflated use of “inter-nation equity” (in)advertently engenders fiscal imperialism by providing an ideological basis and justification for more powerful states to dominate the tax policies of their less powerful counterparts. While fiscal imperialism has typically been addressed from the perspective of sovereign acts, this article, uniquely, attempts to pre-empt fiscal imperialism by exposing how the propagation of knowledge lays the ideological foundation for fiscal imperialism across the international tax system. It stresses the cognitivist roots of fiscal imperialism.

55. See Menno R Kamminga, “Why Global Distributive Justice Cannot Work” (2006) 41 Acta Pol 21, DOI: <<https://doi.org/10.1057/palgrave.ap.5500136>>; Miriam Ronzoni, “Global Tax Governance: The Bullets Internationalists Must Bite – And Those They Must Not” (2014) 1 Moral Philosophy & Politics 37 at 45, DOI: <<https://doi.org/10.1515/mopp-2013-0015>>. For a synoptic examination of global distributive justice perspectives, see Simon Caney, “International Distributive Justice” (2001) 49 Political Studies 974, DOI: <<https://doi.org/10.1111/1467-9248.00351>>. Caney observes that the main school of global distributive justice is cosmopolitanism. Although there is a spectrum of perspectives on cosmopolitan distributive justice, a common thread that runs through them, according to Caney, is the conclusion that “the current system is extremely unjust and that a redistribution of wealth from the affluent to the impoverished is required” (*ibid* at 976). The underlying rationale of this common conclusion is that:

(a) [I]ndividuals have moral worth, (b) they have this equally, and (c) people’s equal moral worth generates moral reasons that are binding on everyone...[i]f we accept these (very plausible) ethical claims, it would be mysterious to claim that the duties imposed by a theory of justice should include only fellow citizens or fellow nationals. These universalist considerations imply that the scope of distributive justice should be global [and a person’s nationality or citizenship should not determine their entitlements] (*ibid* at 977).

countries to low-income countries.⁵⁶ It results in asking questions about whether

While the general premise of cosmopolitan distributive justice—*i.e.*, the emphasis on the imperative to reform an unjust system—is an acceptable bedrock for the reform of international tax regimes, the emphasis on wealth redistribution might convey the same problematic notion that the wealth in question (the tax base) is the preserve of the high-income state, subject to redistribution to the low-income state. It is only to the extent that cosmopolitan perspectives recognize a normative entitlement of the low-income state to the tax base, and thereupon the moral imperative of all states to ensure fair and equitable distribution, does the cosmopolitan view align with the import of allocative justice. In that sense, to the extent that principles of distributive justice transcend the shackles of national boundaries, inhabitants of both high-income and low-income states are entitled to a fair and adequate share of that which constitutes their commonwealth. Unless entitlement (allocative justice) is an undisputed foundation of the sharing conversation, the semantic theme of “redistribution,” conveyed as tax aid transfer, will undermine the bargaining muscle of low-income states.

56. There is extensive philosophical debate about whether high-income countries have a duty to assist low-income countries (“burdened societies”) to overcome endemic socioeconomic burdens. The “duty of assistance” theory is credited to John Rawls. See *The Law of Peoples: With “The Idea of Public Reason Revisited”* (Harvard University Press, 1999) at part III, DOI: <<https://doi.org/10.2307/j.ctv1pncngc>>. Rawls rejects global distributive justice and argues, instead, that “well ordered peoples” would, for the international scene, operate on eight principles (constituting his Law of Peoples), one of which is an altruistic duty to assist other people living in unfavourable conditions. The Rawlsian perspective has attracted both critics and defenders in great measure, ranging from those who see it as a betrayal of his earlier positions on (domestic) distributive justice (expressed in the 1971 book, *A Theory of Justice*) to those who regard it as a more sensible and moderate approach to international relations. See generally Allen Buchanan, “Rawls’s Law of Peoples: Principles for a Vanished Westphalian World” (2000) 110 *Ethics* 697, DOI: <<https://doi.org/10.1086/233370>>; John Tasioulas, “From Utopia to Kazanistan: *John Rawls and the Law of Peoples*” (2002) 22 *Oxford J Leg Stud* 367, DOI: <<https://doi.org/10.1093/ojls/22.2.367>>; Thomas Pogge, “Assisting the Global Poor” in Deen K Chatterjee, ed, *The Ethics of Assistance: Morality and the Distant Needy* (Cambridge University Press, 2004) at 260, DOI: <<https://doi.org/10.1017/CBO9780511817663.014>>; Thomas Pogge, “The Incoherence Between Rawls’s Theories of Justice” (2004) 72 *Fordham L Rev* 1739; Thomas Nagel, “The Problem of Global Justice” (2005) 33 *Phil & Pub Aff* 113, DOI: <<https://doi.org/10.1111/j.1088-4963.2005.00027.x>>; Mathias Risse, “What We Owe to the Global Poor” (2005) 9 *J Ethics* 81, DOI: <<https://doi.org/10.1007/s10892-004-3321-z>>; Joseph Heath, “Rawls on Global Distributive Justice: A Defence” (2005) 31 *Can J Phil* 193, DOI: <<https://doi.org/10.1080/00455091.2005.10716854>>; Chris Armstrong, “Defending the Duty of Assistance?” (2009) 35 *Soc Theory & Prac* 461, DOI: <<https://doi.org/10.5840/soctheorpract200935326>>; Sylvie Loriaux, “Fairness in International Economic Cooperation: Moving beyond Rawls’s Duty of Assistance” (2012) 15 *Crit Rev Int’l Soc & Pol Philosophy* 19, DOI: <<https://doi.org/10.1080/13698230.2011.572427>>; Rex Martin, “Rawls on International Economic Justice in *The Law of Peoples*” (2015) 127 *J Bus Ethics* 743, DOI: <<https://doi.org/10.1007/s10551-014-2184-x>>. For a broad review of responses, see Gillian Brock, “Recent Works on Rawls’s *Law of Peoples*: Critics Versus Defenders” (2010) 47 *Am Phil Q* 85. Without delving into this philosophical debate

the low-income country *deserves* the transfer rather than posing the harder question: why does the high-income country benefit from unjust tax rules that leave other countries bereft of the ability to meet even basic needs?⁵⁷

This centring of tax reform as tax aid thus foments resistance to meaningful international tax reform because of misconceptions that such reform may result in “wealth transfers” to poor but mismanaged states, as depicted in the words of Adam H. Rosenzweig, tax professor at Washington University:

There has never been much support in the United States for a policy of significant transfers of tax revenue to taxpayers in India or Bangladesh or Haiti. Part of the intuition underlying this resistance is based on the fact that part of the reason for disparities in income around the world has to do with differences in development, infrastructure, and especially government. For example, it would be expected that a country governed by a corrupt government which spends little on improving general welfare of its residents would have much lower GDP and GDP per capita....*From*

and without prejudice to their validity in other aspects of international relations, we are of the view that the duty that is integral to inter-nation equity is that high-income countries should not entrench regimes that erode the tax base of low-income countries. This notion is not based on the altruistic whims of high-income states, but on firmer grounds of allocative justice. See Ivan Ozai, “Two Accounts of International Tax Justice” (2020) 33 CJLJ 317 at 326, DOI: <<https://doi.org/10.1017/cjlj.2020.8>>. Ozai argues that

[o]ne does not need to embrace a non-relational global cosmopolitanism to hold the current international tax system as morally unjust. An intermediary position on global justice implies that international cooperation requires minimal mutual respect between political communities, which might not imply full global distributive justice but demands the absence of grave injustices (*ibid*).

57. When tax scholars discuss the premise for reform of international tax rules, it is important that their ideological leanings be made explicit. Given the conceptual fluidity of cosmopolitanism, debates about whether there is a cosmopolitan duty to change the distributional rules of international tax can reinforce the paternalistic outlook of international tax governance. For debates about the distributional rules of international tax, see generally Ilan Benshalom, “The New Poor at Our Gates: Global Justice Implications for International Trade and Tax Law” (2010) 85 NYU L Rev 1; Tsilly Dagan, “International Tax and Global Justice” (2017) 18 Theor Inq L 1, DOI: <<https://doi.org/10.1515/til-2017-0002>>; Stewart, *supra* note 23; Laurens van Apeldoorn, “Exploitation, International Taxation, and Global Justice” (2019) 77 Rev Soc Econ 163, DOI: <<https://doi.org/10.1080/00346764.2018.1525759>>; Peter Hongler, *Justice in International Tax Law: A Normative Review of the International Tax Regime* (IBFD, 2019) at part IV, DOI: <<https://doi.org/10.59403/1ss7gq>>; Dirk Broekhuijsen & Henk Vording, “What May We Expect of a Theory of International Tax Justice?” in Dominic de Cogan & Peter Harris, eds, *Tax Justice and Tax Law: Understanding Unfairness in Tax Systems* (Hart, 2020) at 155, DOI: <<https://doi.org/10.5040/9781509935024.ch-009>>; Ivan Ozai, “Origin and Differentiation in International Income Allocation” (2021) 44 Dal LJ 129.

*this perspective, it might seem absurd for vertical equity to demand transferring revenue from the United States to such a government when the money would be expected to be lost to corruption.*⁵⁸

Rosenzweig's discussion raises the important point that no state—however wealthy—can be expected to transfer its tax revenue to another state where the revenue may be squandered by a corrupt government. However, such assessments are tenable only in situations—demonstrated below—where international tax rules are designed to funnel tax revenue to a low-income country despite the recipient country not having a normative entitlement to tax the base. Such assessments cannot apply where the low-income country is entitled to tax, even if being entitled to tax means taxing at a level more suitable to its fiscal aspirations by, for instance, raising the withholding tax rate on passive income or expanding the permanent establishment threshold to bring more business income into the source-based tax net. It must therefore be emphasized that, through the allocative justice lens (as explicated below), the existence of a “benevolent and capable government” in a low-income country is not a prerequisite for inter-nation equity.⁵⁹ A state's entitlement to tax is not qualified by how it ultimately utilizes tax revenue. A state can tax to build, to consume, to redistribute, or even to fund unjust wars. As we elaborate in Part II, if a state provides the conditions for income to be earned—or enjoyed—and has capacity to collect tax on that income, the normative justifications for taxation are satisfied.

We contend that some of these narrative biases are immersed in a “handout” subconscious that only seems to becloud arguments made in support of international tax reforms driven from the perspective of low-income countries. Consider, for instance, the OECD BEPS project (Pillar One).⁶⁰ We are not likely

58. “International Vertical Equity” (2021) 52 Loy U Chicago LJ 471 at 494 [emphasis added].

59. Johanna Stark, “Tax Justice Beyond National Borders—International or Interpersonal?” (2021) 42 Oxford J Leg Stud 133 at 133, DOI: <<https://doi.org/10.1093/ojls/ggab026>> (absent a robust assumption of a benevolent and capable government on the recipient side, the reallocation of taxing rights from state to state does not necessarily help when it comes to fulfilling duties of justice towards individuals).

60. See e.g., OECD, “Public Consultation Document: Secretariat Proposal for a ‘Unified Approach’ Under Pillar One” (9 October 2019), online (pdf): *OECD Web Archive* <web-archiv.eoed.org/2019-10-10/532365-public-consultation-document-secretariat-proposal-unified-approach-pillar-one.pdf> [perma.cc/X3D5-8LFY]; OECD, *Tax Challenges Arising from Digitalization – Report on Pillar One Blueprint* (OECD, 2020), DOI: <<https://doi.org/10.1787/beba0634-en>> [OECD, *Pillar One Blueprint*]; OECD, “Statement on a Two-Pillar Solution to Address the Tax Challenges Arising from the Digitalisation of the Economy” (8 October 2021), online (pdf): <www.oecd.org/tax/beps/statement-on-a-two-pillar-solution-to-address-the-tax-challenges-arising-from-the-digitalisation-of-the-economy-october-2021.pdf> [perma.cc/7Y5Z-X2W9]; OECD, “Pillar

to portray the claims of some high-income countries (mainly OECD countries) for reform of existing taxing rights allocation rules to enable them to tax the profits of large non-resident digitalized businesses (mostly US multinational enterprises (MNEs)) as a humanitarian or aid claim. Neither would we portray the United States as “allowing” other high-income countries to impose these taxes as a humanitarian gesture.⁶¹ We take it for granted that high-income countries assert these taxing rights because they create the conditions that support the production of income and, therefore, have the normative basis to tax.⁶² Given the emergence of digitalization, there is normative—and political—support for the reform of taxing rights allocation. The same logic can and should apply when low-income countries propose changes to taxing rights allocation bargains because they believe that their tax base is being eroded due to the current international tax design features that unduly limit low-income countries’ taxing rights.⁶³

A. THE SCOPE OF INTERNATIONAL TAX REDISTRIBUTIVE JUSTICE

If allocative justice is about preserving the taxing rights of low-income countries, what distinct role does redistributive justice play? Our view is that

One – Amount A: Draft Model Rules for Nexus and Revenue Sourcing” (4 February 2022), online (pdf): *OECD Web Archive* <web-archiv.oecd.org/2022-02-04/623615-public-consultation-document-pillar-one-amount-a-nexus-revenue-sourcing.pdf> [perma.cc/5A3U-DB4S].

61. See Aitor Navarro, “The Allocation of Taxing Rights under Pillar One of the OECD Proposal” in Florian Haase & Georg Kofler, eds, *The Oxford Handbook of International Tax Law* (Oxford University Press, 2023) 951 at 960, DOI: <<https://doi.org/10.1093/oxfordhb/9780192897688.013.56>> (discussing the dominant political power that the United States wields over the negotiations for a global digital tax deal). See also News Wires, “‘Very clear’ US is blocking Digital Tax talks, says French Finance Minister,” *France 24* (9 September 2020), online: <www.france24.com/en/20200909-very-clear-us-is-blocking-digital-tax-talks-says-french-finance-minister> [perma.cc/8NU3-LMPW]; Andrea Shalal, Michael Nienaber & Leigh Thomas, “U.S. Drops ‘Safe Harbor’ Demand, Raising Hopes for Global Tax Deal,” *Reuters* (26 February 2021), online: <www.reuters.com/article/idUSKBN2AQ2E5/#:~:text=WASHINGTON> [perma.cc/H7DW-LSPC].
62. See Daniel Bunn, “A Summary of Criticisms of the EU Digital Tax” (October 2018), online (pdf): *Tax Foundation* <files.taxfoundation.org/20181022090015/Tax-Foundation-FF618.pdf> [perma.cc/5W3B-NP76]; Elizabeth Schulze, “France Approves Digital Tax on American Tech Giants, Defying US Trade Threat,” *CNBC* (11 July 2019), online: <www.cnn.com/2019/07/11/france-passes-digital-tax-on-us-tech-firms-despite-trade-threat.html> [perma.cc/L58L-ARCR]; James Kane, “Taxing Digital Services Suggests the Government is Serious about Sovereignty” (1 April 2020), online: *UK Institute for Government* <www.instituteforgovernment.org.uk/blog/digital-services-tax> [perma.cc/KVN9-U7EM].
63. The characteristics of the subsisting bargain, as well as its impact on the taxing rights of low-income countries, are further discussed in Part II.

redistributive justice captures an important and altruistic global commitment to humanitarianism, human rights, and sustainable development.⁶⁴ Redistributive justice requires one country—a high-income country—to transfer (or redistribute) its taxing rights or revenue to another (low-income) country that is not—or demonstrably less—entitled to tax the base. The purpose of this altruistic transfer is to enable the low-income country to derive the revenue needed to meet certain spending.⁶⁵ A significant benefit of the distinction between allocative justice and redistributive justice is that it allows for a focused consideration of transnational tax measures that are deliberately designed to address “development” goals.⁶⁶ A profound example is American health law and policy scholar John D. Blum’s “global corporate tax” proposal which experiments with the harmonization of taxation and global health policy. Blum wrote at a time when the world was just emerging from a global health crisis, the “avian flu.”⁶⁷ Blum was conscious of the funding gaps for healthcare and development in low-income countries at the time and called for the initiation of a special international tax scheme—a “moderate

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64. On global distributive justice and sustainable development, see *e.g.*, Peder Hjorth, “Development Assistance and Sustainable Development: A Critical Assessment” (2015) 3 *Am J Bus Econ & Management* 75; Nandini Ramanujam, Nicholas Caivano & Alexander Agnello, “Distributive Justice and the Sustainable Development Goals: Delivering Agenda 2030 in India” (2019) 12 *L & Development Rev* 49, DOI: <<https://doi.org/10.1515/ldr-2019-0020>>.
 65. See *e.g.*, Gillian Brock, *Global Justice: A Cosmopolitan Account* (Oxford University Press, 2009), DOI: <<https://doi.org/10.1093/acprof:oso/9780199230938.001.0001>> (proposing a global revenue mobilization initiative through various special tax regimes that are then channeled to the aid of poor peoples around the world); Ayelet Shachar, *The Birthright Lottery: Citizenship and Global Inequality* (Harvard University Press, 2009), DOI: <<https://doi.org/10.4159/9780674054592>> (proposing a special “birthright privilege levy” on persons born into privileged societies to benefit those who through sheer luck were born in poor countries). See also David E Pozen, “Hidden Foreign Aid” (2007) 8 *Fla Tax Rev* 641, DOI: <<https://doi.org/10.5744/ftt.2007.1062>> (contending that certain tax reliefs granted US non-profits operating overseas constitute ODA to the countries where they operate); Mitchell A Kane, “Bootstraps and Poverty Traps: Tax Treaties as Novel Tools for Development Finance” (2012) 29 *Yale J Reg* 255 (discussing the potential of low-income countries conceding their taxing rights through tax treaties to high-income countries in exchange for aid advances from high-income countries).
 66. See JD Blum, “Distributive Justice and Global Health: A Call for a Global Corporate Tax” (2007) 26 *Med & L* 203.
 67. *Ibid.* For the “avian flu” crisis, see *e.g.*, Robert Roos, “Year-End Review: Avian Flu Emerged as High-Profile Issue in 2005” (5 January 2006), online: *CIDRAP* <www.cidrap.umn.edu/avian-influenza-bird-flu/year-end-review-avian-flu-emerged-high-profile-issue-2005> [perma: cc/MDN4-QRFA]; Niti Mittal & Bikash Medhi, “The Bird Flu: A New Emerging Pandemic Threat and Its Pharmacological Intervention” (2007) 1 *Intl J Health Sciences* 277.

rate” “global corporate tax” on the world’s most profitable MNEs to generate revenue to address these gaps.⁶⁸ Blum offered two approaches:⁶⁹ “one approach is to levy an annual tax on WTO members based on annual GNP, [another is] to craft an assessment linked in some manner to the economic benefits derived from free trade.”⁷⁰

Blum designated MNEs’ income as the target tax base because MNEs are great beneficiaries of the global trade system.⁷¹ He also considered the World Trade Organization (WTO) the most suitable international organization to levy this tax (of course, only with the consent of its members).⁷² Blum reasoned that the proposal—which would mainly draw revenue from the tax base of non-beneficiary countries—had other benefits, including the fact that it would enable the WTO to coordinate global health policy with the World Health Organization (WHO).⁷³ The WTO would enforce the tax under a special agreement that would legally bind its members to report on the foreign corporations doing business in their respective nations.⁷⁴ Therefore, “an enforcement mechanism to collect corporate tax revenue would need to be created most likely within the WTO nation in which a given corporation is doing business, and a global oversight and centralized collection system would need to be devised.”⁷⁵

A distinctive attribute of redistributive justice proposals is that they contemplate levying tax on a tax base that a benefitting low-income country would ordinarily not be entitled to tax. To elaborate on this attribute, we lean on Ross P. Buckley’s classic redistributive piece, “Introducing a 0.05% Financial Transactions Tax as an Instrument of Global Justice and Market Efficiency.”⁷⁶ As the title suggests, the author proposes the imposition of a global financial transactions tax on “wholesale capital market transactions” to raise revenues of up to five hundred billion USD a year to help low-income countries achieve various aspects of the now defunct United Nations Millennium Development

68. Blum, *supra* note 66 at 207-211.

69. *Ibid.*

70. *Ibid* at 209.

71. *Ibid* at 210-11.

72. *Ibid* at 208-09.

73. *Ibid* at 210.

74. *Ibid* at 209.

75. *Ibid.*

76. See “Introducing a 0.05% Financial Transactions Tax as an Instrument of Global Justice and Market Efficiency” (2014) 4 Asian J Intl L 153, DOI: <<https://doi.org/10.1017/S2044251313000271>>. See also Blum, *supra* note 66.

Goals (MDGs).⁷⁷ The distinctive feature of this proposal is that the tax would be imposed on a base that transcends what a low-income country is entitled to tax. The proposal would require high-income countries to impose the tax on transactions that occur within their borders and, therefore, entirely within their own base.⁷⁸

A more recent consideration of redistribution is tax scholars Sophie Chatel's and Jinyan Li's proposal to remodel the OECD BEPS Pillar One Blueprint from a taxing rights reallocation tool into an incremental global tax for sustainability.⁷⁹ The authors attempt to link taxation of MNEs to the global campaign for sustainable development, climate control, and economic recovery post-pandemic. Their proposal would "repurpose Pillar One as described in the Blueprint from a mechanism of reallocating tax base under existing corporate income tax (CIT) to an incremental global tax on the largest and most profitable MNEs' market-based profit."⁸⁰ A specified portion of MNEs' in-scope (largest) profits would be taxed by market jurisdictions (jurisdiction of sale of goods or services) and applied to finance common global expenditures: the Sustainable Development Goals (SDGs).

Due to the spending imperatives contemplated in their "Tax for Sustainability" proposal, Chatel and Li expect that the use of the tax revenue by recipient countries would be subject to pre-agreed accountability regimes.⁸¹ Thus, the authors observe that "accountability by governments for public expenditure on SDGs and climate actions would thus be the counterbalance for levying the Tax for Sustainability on MNEs."⁸² This implies that governments that would not utilize the tax for its designated purpose are obligated not to levy the tax. In our view, such an exclusionary rule is tenable only in so far as the proposal does not

77. See Buckley, *supra* note 76. For the MDGs, see MDG Monitoring, "Category: Millennium Development Goals" (last visited 23 February 2014), online: <www.mdgmonitor.org/millennium-development-goals> [perma.cc/FB55-U27M].

78. See Buckley, *supra* note 76 at 158.

79. See "Repurposing Pillar One into an Incremental Global Tax for Sustainability: A Collective Response to a Global Crisis" (2021) 75 BFIT 230, DOI: <<https://doi.org/10.59403/3p2jk0g>>. For the content of the OECD's *Pillar One Blueprint*, see *supra* note 60.

80. Chatel & Li, *supra* note 79 at 231-32.

81. *Ibid.*

82. *Ibid.* at 240.

purport to displace the inherent rights of even a non-compliant country to tax the income of MNEs derived from activities that take place within its borders.⁸³

From a different angle, the alignment of transnational fiscal accountability with redistributive justice—as expressed in Chatel’s and Li’s work—does warrant an explicit consideration of whether the tax system is the most efficient conduit for delivering subsidies to low-income countries. Countries that wish to deliver aid to others should be entitled to carefully and, perhaps, empirically consider the efficiency and adequacy of redistributive schemes delivered through the tax system vis-à-vis programs delivered through more conventional ODA. They can assess whether tax policymakers are best equipped to design redistributive schemes or whether such responsibility should fall to different hands (for example, aid agencies).⁸⁴ However, as underlined in our response to Rosenzweig’s discussion of the transfer of tax revenue to poor states with corrupt governments, we cannot delve into these considerations in a conversation about allocative justice. It is solely up to the low-income country to determine how to apply revenue collected from its tax base.

In sum, it is important both for conceptual clarity and policy coherence that a distinction be drawn between the pursuit of inter-nation equity as a normative tool for the preservation of the taxing rights of low-income countries in international tax bargains involving high-income countries (allocative justice) and the pursuit of humanitarian aid for low-income countries using the tax system (redistributive justice). Tax scholarship that conflates the two ideas creates challenges for the pursuit of international tax reform from the standpoint of low-income countries. In the light of these conclusions, we turn to a thicker

83. See *e.g.*, Falcão, “Linking Policies,” *supra* note 50; Rosenzweig, *supra* note 58; Stark, *supra* note 59. Because redistribution envisages the transfer of revenue from one country to another, a redistributive tax framework may justify some form of accountability modalities that enable donor countries to track progress in the appropriation of the redistributed tax revenue by the recipient country. Tracking progress does not only embed donor countries in implementation, but also positions the leaders of donor countries to defend their redistributive policies before their domestic institutions of responsibility. This is different from a situation of allocative justice, where the allocation of taxing rights does not erode the fiscal sovereignty of the taxing state even if that state is devoid of responsible government.

84. Some scholars have championed the active involvement of non-governmental organizations (NGOs) in the international tax reform scene to enhance the legitimacy of the regime. See Cees Peters, “Global Tax Justice: Who’s Involved?” in Robert F van Brederode, ed, *Ethics and Taxation* (Springer, 2020) 165 at 168, 179, DOI: <<https://doi.org/10.1007/978-981-15-0089-3>>. It might be worth considering whether NGOs that are active coordinators of developmental aid delivery are also well-placed to develop such schemes in a way that tax policy experts may not be able to.

articulation of what accords a country the right to tax cross-border income and how international tax bargains limit the exercise of that right. We complement the analysis by assessing the factors that necessitate the review and reform of international tax bargains. In so doing, we aim to demonstrate (1) the inherence of taxing rights in sovereign states—even low-income countries—owing to the presence of certain recognized factors and (2) that while the *exercise* of inherent taxing rights may be restricted by subsisting international tax bargains, the renegotiation of such bargains (between sovereign states) to ameliorate subsisting restrictions is not analogous to the transfer of aid from one state to another.

II. THE ALLOCATION OF TAXING RIGHTS IS A CONSEQUENCE OF PREVAILING VIEWS OF WHAT CREATES ECONOMIC VALUE, AS WELL AS OF ADMINISTRATIVE FEASIBILITY AND POLITICAL POWER

A. THERE IS NO NORMATIVELY “RIGHT” INITIAL DISTRIBUTION OF TAX REVENUE AMONG STATES

The future of our international tax system—particularly the double taxation regime—is front and centre in current tax policy debates.⁸⁵ Much of the conversation is fuelled by digitalization and its impact on the taxing rights

85. See *e.g.*, Yariv Brauner, “What the BEPS?” (2014) 16 Fla Tax Rev 55, DOI: <<https://doi.org/10.5744/ft.2014.1602>>; Eva Escribano López, “An Opportunistic, and yet Appropriate, Revision of the Source Threshold for the Twenty-First Century Tax Treaties” (2015) 43 Intertax 6, DOI: <<https://doi.org/10.54648/taxi2015002>>; Yariv Brauner, “Treaties in the Aftermath of BEPS” (2016) 41 Brook J Intl L 973, DOI: <<https://doi.org/10.2139/ssrn.2744712>>; Allison Christians, “BEPS and the New International Tax Order” (2016) 2016 BYUL Rev 1603; Reuven S Avi-Yonah & Haiyan Xu “Evaluating BEPS: A Reconsideration of the Benefits Principle and Proposal for UN Oversight” (2017) 6 Harvard Bus L Rev 185, DOI: <<https://doi.org/10.2139/ssrn.2716125>>; David Spencer, “BEPS and the Allocation of Taxing Rights—Part 1” (2017) 28 J Intl Tax 36; Wolfgang Schön, “One Answer to Why and How to Tax the Digitalized Economy” (2019) 47 Intertax 1003, DOI: <<https://doi.org/10.54648/taxi2019105>>; Carlo Garbarino, “The Impact of the OECD BEPs Project on Tax Treaties: Access, Entitlement and Investment Protection” (2020) 31 Eur Bus L Rev 763, DOI: <<https://doi.org/10.54648/eulr2020029>>; Ruth Mason, “The Transformation of International Tax” (2020) 114 Am J Intl L 353, DOI: <<https://doi.org/10.1017/ajil.2020.33>>.

distribution arrangement that has been in existence since the 1920s.⁸⁶ A feature of the ongoing discourse is the question of how we can more fairly integrate the standpoint of low-income countries into international bargains that allocate taxing rights.⁸⁷ The perspective of low-income countries has long featured

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86. See *e.g.*, Tamer Budak, “The Transformation of International Tax Regime: Digital Economy” (2017) 8 Inonu U L Rev 297, DOI: <<https://doi.org/10.21492/inuhfd.354397>>; Monica Gianni, “OECD BEPS (In)Action 1: Factor Presence as a Solution to Tax Issues of the Digital Economy” (2018) 72 Tax Law 255, DOI: <<https://doi.org/10.2139/ssrn.3211971>>; Arthur J Cockfield, “Tax Wars: How to End the Conflict Over Taxing Global Digital Commerce” (2020) 17 Berkeley Bus LJ 347, DOI: <<https://doi.org/10.15779/Z38H70815H>>; Wei Cui, “The Digital Taxes on the Verge of Implementation” (2019) 67 Can Tax J 1135, DOI: <<https://doi.org/10.32721/Ctj.2019.67.4.sym.cui>>; Svitlana Buriak, “A New Taxing Right for the Market Jurisdiction: Where Are the Limits?” (2020) 48 Intertax 301, DOI: <<https://doi.org/10.54648/taxi2020026>>; Nolan McCarthy, “Addressing Complications in the International Tax Regime Resulting from the Digitalization of the Economy” (2020) 53 Intl Lawyer 453; Craig Elliffe, “International Tax Frameworks: Assessing the 2020s Compromise from the Perspective of Taxing the Digital Economy in the Great Lockdown” (2020) 74 BFIT 532, DOI: <<https://doi.org/10.59403/3qpc7ms>>; Richard Collier, Michael P Devereux & John Vella, “Comparing Proposals to Tax Some Profit in the Market Country” (2021) 13 WTJ 405, DOI: <<https://doi.org/10.59403/vj9y4k>>; Assaf Harpaz, “Taxation of the Digital Economy: Adapting a Twentieth-Century Tax System to a Twenty-First-Century Economy” (2021) 46 Yale J Intl L 57; Katherine E Karnosh, “The Application of International Tax Treaties to Digital Services Taxes” (2021) 21 Chicago J Intl L 513; Jinyan Li, “The Legal Challenges of Creating a Global Tax Regime with the OECD Pillar One Blueprint” (2021) 75 BFIT 84, DOI: <<https://doi.org/10.59403/1a68ax>>; Xiaorong Li, “A Potential Legal Rationale for Taxing Rights of Market Jurisdictions” (2021) 13 WTJ 25, DOI: <<https://doi.org/10.59403/1f2sb1d>>; Ana Paula Dourado, “Pillar Two Model Rules: Inequalities Raised by the Globe Rules, the Scope, and Carve-Outs” (2022) 50 Intertax 282, DOI: <<https://doi.org/10.54648/taxi2022035>>; Craig Elliffe, “The Brave (and Uncertain) New World of International Taxation under the 2020s Compromise” (2022) 14 WTJ 237, DOI: <<https://doi.org/10.59403/1h6s7gc>>.
87. For example, see Annet Wanyana Oguttu, “Tax Base Erosion and Profit Shifting in Africa – Part 1: What Should Africa’s Response Be to the OECD BEPS Action Plan?” (2015) 48 Comp & Intl LJS Afr 516; Irene Burgers & Irma Mosquera, “Corporate Taxation and BEPS: A Fair Slice for Developing Countries?” (2017) 10 Erasmus L Rev 29, DOI: <<https://doi.org/10.5553/ELR.000077>>; Lennard, *supra* note 21; Vet, Cassimon & de Vijver, *supra* note 31; Christians & Magalhães, *supra* note 23; Chatel & Li, *supra* note 79; Tebogo Lorencia Motaung, *The Unintended Consequences of Tax Treaties and the Unfair Allocation of Treaty Taxing Rights from a Developing Country’s Perspective* (MPhil Dissertation, University of Pretoria, 2020) [unpublished]; Tarcísio Diniz Magalhães, “International Tax Law Between Loyalty, Exit, and Voice” (2021) 44 Dal LJ 49 [Magalhães, “International Tax Law”]; Martin Hearson, Rasmus Corlin Christensen & Tovony Randriamanalina, “Developing Influence: The Power of ‘The Rest’ in Global Tax Governance” (2022) 30 Rev Intl Political Econ 841, DOI: <<https://doi.org/10.1080/09692290.2022.2039264>>.

in international tax discourse,⁸⁸ but, as shown in Part I, has received more attention from tax scholars, tax justice advocates, and tax policymakers in the context of ongoing reforms to international tax rules being coordinated by the OECD. As Part I also demonstrates, we argue for conceptual (and, as a result, policy) clarity in the design of equitable international tax regimes. In Part II(A), we re-examine the foundations of the international tax regime (“the double taxation regime”) with the aim of demonstrating that there is no “right” initial distribution of taxing rights.⁸⁹ Rather, the double taxation regime that has prevailed for the last century reflects the results of political brokering, originally undertaken primarily between high-income states, which overlays a *defensible*, but imperfect and evolving, understanding of what provides economic value that

88. See *e.g.*, Musgrave & Musgrave, “Inter-nation Equity,” *supra* note 26; Stanley S Surrey, “United Nations Group of Experts and the Guidelines for Tax Treaties Between Developed and Developing Countries” (1978) 19 Harv Intl LJ 1; Edwin Van der Bruggen, “A Preliminary Look at the New UN Model Tax Convention” (2002) 2 Brit Tax Rev 119; Brooks & Krever, *supra* note 18 (urging a shift in the use of double tax treaties between high-income countries and low-income countries); Genschel & Rixen, *supra* note 14 at 161 (discussing the efforts of low-income countries to deviate from the entrenched but heavily residence-based taxing rights allocation formula contained in the OECD, *Model Tax Convention*); Guglielmo Maisto, “The History of Article 8 of the OECD Model Treaty on Taxation of Shipping and Air Transport” (2003) 31 Intertax 232, DOI: <<https://doi.org/10.54648/TAXI2003047>> (discussing the resistance of some Latin American countries to the entrenchment of certain aspects of a proposed framework for the taxation of international shipping).

89. In using the term “right,” we are keen to emphasize the inherent lack of precision or perfection in the initial distribution of international taxing rights. As explained below, this imprecision and imperfection is present in the conceptualization of relevant principles like sovereignty, territoriality, economic allegiance, source, residence, et cetera. These principles form the building blocks of distribution. It is also inherent in the compromise nature of the initial distribution, which was either reluctantly embraced by many states or strenuously resisted by them. See Ring, “International Tax Relations,” *supra* note 12; Genschel & Rixen, *supra* note 14.

enables the production of (taxable) income returns, and what is administrable by the revenue authority.⁹⁰

Our reference to the “initial distribution” is a reference to the international tax compromise that emerged between the early 1920s and 1960s as a framework for the allocation of taxing rights between residence (home) and source (host or origin) countries, as well as between source countries *inter se*.⁹¹ Its design commenced (by way of economists’ technical postulations and inter-state negotiation) on the platform of the League of Nations between a handful of countries and was taken over by the OECD after the Second World War.⁹² In a nutshell, the compromise that was reached between countries classified income into various types—*e.g.*, income from immovable property, business profits, income from international shipping, dividends, interest, royalties, et cetera—and then allocated the primary, residual, or exclusive right to tax each income type to the residence or source country.⁹³ For instance, the source country was allocated the exclusive right to tax income from immovable property,⁹⁴ the residence country was allocated the exclusive right to tax income from international shipping,⁹⁵ and the source country was allocated the primary right to tax passive income, *e.g.*, dividends

90. In other words, there are three components of the initial distribution of taxing rights. First, there is an economic component, which ties tax jurisdiction to the existence of economic allegiance. This is complemented by administrative feasibility, *i.e.*, tax jurisdiction is only complete or meaningful if the state has a pragmatic means to assert it (usually by the presence of the tax base—person or property—within its territory). Once jurisdiction is so established, a third component—political brokering—comes in due to the clash of two (or more) countries’ tax jurisdictions. Political brokering between countries with conflicting tax jurisdiction produces a compromise or distribution that overlays, constrains, and restricts the exercise of the inherent tax jurisdiction of each state. This is what the double taxation regime is—a compromise or bargain. See Ring, “International Tax Relations,” *supra* note 12.

91. See Wang, *supra* note 14; Michael Lang, *Introduction to the Law of Double Taxation Conventions*, 2nd ed (IBFD, 2013), DOI: <<https://doi.org/10.59403/36eh018>>; Sunita Jogarajan, *Double Taxation and the League of Nations* (Cambridge University Press, 2018), DOI: <<https://doi.org/10.1017/9781108368865>>; Lara Friedlander & Scott Wilkie, “The History of Tax Treaty Provisions—And Why It Is Important to Know About It” (2006) 54 Can Tax J 907; Genschel & Rixen, *supra* note 14.

92. See generally Picciotto, *supra* note 24; Reuven S Avi-Yonah, “Structure of International Taxation: A Proposal for Simplification” (1996) 74 Tex L Rev 1301 at 1303, DOI: <<https://doi.org/10.2139/ssrn.3920264>> [Avi-Yonah, “Structure of International Taxation”]; Genschel & Rixen, *supra* note 14 at 160.

93. See OECD Model Convention, *supra* note 15, arts 6, 7, 8, 10-12. See also Picciotto, *supra* note 24.

94. See OECD Model Convention, *supra* note 15, art 6.

95. *Ibid*, art 8.

and interest,⁹⁶ with the residue falling to the residence country.⁹⁷ A country was allocated the exclusive right to tax the business profits of its resident enterprises; however, a carveout in the regime entitled the source country to tax the business profits of a non-resident enterprise that carries on business there through a permanent establishment.⁹⁸ Overall, there was a marked preference for taxation by the residence country.⁹⁹ In respect of source country taxation *inter se*, the original bargain adopted a policy of separate entity taxation, which entails the attribution of taxable income to individual members of an MNE based on the arm's length principle.¹⁰⁰ A country could tax only so much of an MNE's income as was attributable to activities carried out in that country by a member of the MNE group.¹⁰¹

The initial distribution was built on a premise that both the residence and source country possessed some defensible and underlying normative basis, justification, or entitlement to tax the income.¹⁰² However, the need to contain double taxation necessitated a split of taxing rights between competing revenue authorities in a considerably fair manner, *i.e.*, reflective of the relative levels of economic connection and contribution of each state to the income earned by the taxpayer, as well as the feasibility of one state collecting a tax, if imposed (administrative feasibility).¹⁰³

96. *Ibid*, arts 10, 11.

97. *Ibid*.

98. *Ibid*, art 7.

99. See Wang, *supra* note 14; Irish, *supra* note 20.

100. See OECD, *Model Tax Convention*, *supra* note 15, art 9; Richard J Vann, "Reflections on Business Profits and the Arm's-Length Principle," in Brian J Arnold, Jacques Sasseville & Eric M Zolt, eds, *The Taxation of Business Profits under Tax Treaties* (Canadian Tax Foundation, 2003) 133 at 135; Richard S Collier & Joseph L Andrus, *Transfer Pricing and the Arm's Length Principle after BEPS* (Oxford University Press, 2017); Lynne Oats, Angharad Miller & Emer Mulligan, *Principles of International Taxation*, 6th ed (Bloomsbury, 2017).

101. See Vann, *supra* note 100; Hubert Hamaekers, "Arm's Length – How Long?" in Paul Kirchhof et al, eds, *International and Comparative Taxation: Essays in Honour of Klaus Vogel* (Kluwer Law International, 2002) at 29; Mary Bennett, "Article 7 – New OECD Rules for Attributing Profit to Permanent Establishments" in Dennis Weber & Stef van Weeghel, eds, *The 2010 OECD Updates: Model Tax Convention & Transfer Pricing Guidelines: A Critical Review* (Kluwer Law International, 2011) at 21.

102. This could be the fact that the taxpayer is primarily located in the state (residence) or that the income derives from activities carried on within the state (source), benefitting in either case from the environment that the state provides. See 1923 Report, *supra* note 5; Moyal, *supra* note 5.

103. See Ring, "International Tax Relations," *supra* note 12; López, *supra* note 85 at 8.

The relative negotiating powers of the countries at the table explain at least some elements of the initial distribution of taxing rights.¹⁰⁴ Failing to situate the initial distribution, as well as subsequent arrangements, in the context of the geo-political power dynamics of the bargaining countries misses an important explanatory variable in the outcomes that were reached.¹⁰⁵ Focusing on the economic and political power of the negotiating states broadens our appreciation of why the bargain turned out largely in favour of high-income countries.¹⁰⁶ It also assists in disabusing any assumptions that those arrangements had a “right” normative foundation.¹⁰⁷

So, what were the underlying normative justifications of the initial distribution?¹⁰⁸ The answer lies in the principles that define a sovereign state’s right to tax, *i.e.*, the principles of tax jurisdiction. Throughout modern history, political economists have expounded various normative theories to justify a

104. See Ring, “International Tax Relations,” *supra* note 12; Michael Kobetsky, *International Taxation of Permanent Establishments: Principles and Policy* (Cambridge University Press, 2011), DOI: <<https://doi.org/10.1017/CBO9780511977855>>; Genschel & Rixen, *supra* note 14; Magalhães, “What Is Really Wrong,” *supra* note 54; Patrik Emblad “Power and Sovereignty. How Economic-Ideological Forces Constrain Sovereignty to Tax” (2021) 4 Nordic J L & Society 1 at 18, DOI: <<https://doi.org/10.36368/njolas.v4i01.206>>. As Emblad notes at 18:

When analyzing the development of the international tax order from a power perspective, however, it does become clear that this order is neither neutral nor equal. The international efforts to prevent double taxation in the early 20th century manifested themselves in a policy framework that favored economically stronger states. The efforts to prevent double non-taxation in the 21st century is not a correction of these inequalities, but rather a restoration of them.

105. See Kael Loewenstein, “Sovereignty and International Co-operation” (1954) 48 AJIL 222 at 223, DOI: <<https://doi.org/10.2307/2194372>>. Loewenstein argues that “the assumptions of both equality and the independence of states are fictions. States never have been, nor are they now, equal. They differ widely in their power potential and, consequently, also in the degree of their independence” (*ibid*).

106. See Genschel & Rixen, *supra* note 14; Magalhães, “International Tax Law,” *supra* note 87.

107. For our intended use of “right” see note 89, above.

108. This question may be also be framed as “what gives a country the right to tax?”

sovereign state's inherent competence to tax.¹⁰⁹ These theories include the realistic theory, which equates tax jurisdiction with the physical power that a state wields over persons and property within its territory; the contractual theory, which regards taxation as payment collected by a state for goods or services rendered to the taxpayer; the benefits theory, which views taxation as a return for the benefits or advantages derived from a state; and the sovereignty theory, which simply regards taxation as an attribute of statehood.¹¹⁰ Since the 1920s, the predominant theory of tax jurisdiction has been the concept of "economic allegiance," which is a complement to the benefits principle.¹¹¹ Economic allegiance reflects the idea that a person is indebted—in a tax sense—to all those states that provide them with the enabling environment to create, possess, and enjoy wealth.¹¹² The notion of wealth creation, in particular, is at the heart of source taxation. The famous 1923 report by a committee of experts assigned by the League of Nations to study the problems of double taxation and to recommend solutions recognizes a totality of stages of economic engagement that may be deemed to constitute the origin or source of a taxpayer's wealth:

In the attempt to discover the true meaning of economic allegiance, it is clear that there are three fundamental considerations: that of (1) *production of wealth*; that of (2) *possession of wealth*; that of (3) *disposition of wealth*....By *production of wealth* we mean all the stages which are involved up to the point of the wealth coming to fruition, that is, all the stages up to the point when the physical production has reached a complete economic destination and can be acquired as wealth. The

109. See Joseph H Beale, "Jurisdiction to Tax" (1919) 32 Harv L Rev 587, DOI: <<https://doi.org/10.2307/1327994>>. Beale collected quotes stating that

[t]he power to tax is one of the attributes of sovereignty; and the jurisdiction to exercise the power is coterminous with the bounds of the sovereign's jurisdiction. "It is obvious that it is an incident of sovereignty, and is coextensive with that to which it is an incident. All subjects over which the sovereign power of a state extends are objects of taxation, but those over which it does not extend are, upon the soundest principles, exempt from taxation....The sovereignty of a state extends to everything which exists by its own authority or is introduced by its permission....The power to tax involves the power to destroy." "The power of taxation, however vast in its character and searching in its extent, is necessarily limited to subjects within the jurisdiction of the state. These subjects are persons, property and business" (*ibid* at 587).

110. See Kees van Raad, *Nondiscrimination in International Tax Law*, 1st ed (Kluwer Law and Taxation, 1986) at 20-21; Rutsel Silvestre J Martha, *The Jurisdiction to Tax in International Law: Theory and Practice of Legislative Fiscal Jurisdiction* (Kluwer Law and Taxation, 1989); Cappelen, "Moral Rationale," *supra* note 6.

111. See 1923 Report, *supra* note 5; Cappelen, "Moral Rationale," *supra* note 6.

112. See 1923 Report, *supra* note 5.

oranges upon the trees in California are not acquired wealth until they are picked, and not even at that stage until they are packed, and not even at that stage *until they are transported to the place where demand exists and until they are put where the consumer can use them*. These stages, up to the point where wealth reaches fruition, may be shared in by different territorial authorities.¹¹³

Economic allegiance theory has been a mainstay theory of tax jurisdiction since coming to the fore in the 1923 report and continues to be viewed by scholars as the lynchpin of international tax jurisdiction.¹¹⁴ The principles of residence and source are distinct surrogates for economic allegiance. While a source state provides the enabling environment to produce income or wealth, the residence state provides the enabling environment for the protection and enjoyment of wealth; both source and residence states, therefore, are entitled to a share of the taxpayer's wealth.¹¹⁵

The initial distribution was also shaped by administrative pragmatism.¹¹⁶ Policymakers have long recognized the importance of administrative feasibility in the design of tax rules. If a tax is difficult to administer, it will fail to serve its intended objective as a source of revenue.¹¹⁷ Thus, some of the arguments advanced for or against residence or source taxation are based on administrative feasibility. For instance, residence-based taxation—at least of natural persons—has been preferred because of the relatively limited mobility of people vis-à-vis activities.¹¹⁸ This preference is buttressed by the relative difficulty of defining “source,” which

113. *Ibid* at 22-23 [emphasis added].

114. Jinyan Li, Nathan Jin Bao & Huaning (Christina) Li, “Value Creation: A Constant Principle in a Changing World of International Taxation” (2019) 67 Can Tax J 1107, DOI: <<https://doi.org/10.32721/ctj.2019.67.4.sym.li>> (asserting that value creation is a modern reenactment of the traditional concept of economic allegiance).

115. See 1923 Report, *supra* note 5 at 20. The 1923 Report asserts that a taxpayer is obligated to contribute to each of the “several governments which render him service,” thereby incorporating the benefits principle into economic allegiance theorization.

116. See Musgrave, “Interjurisdictional Equity,” *supra* note 16; Ring, “International Tax Relations,” *supra* note 12; Harris & Oliver, *supra* note 4 at 43-44.

117. See Jinyan Li, Arthur Cockfield & J Scott Wilkie, *International Taxation in Canada: Principles and Practices*, 2nd ed (LexisNexis, 2011) at 19.

118. See Ring, “International Tax Relations,” *supra* note 12 at 117. As Ring notes:

Residence jurisdiction could be preferred on the grounds that: (1) It best reflects ability to pay (because the taxing state can “readily” base its taxation on the entirety of the taxpayer’s income and thus have an accurate sense of the taxpayer’s fiscal picture). (2) Income “belongs” to people (residence), not places (source). (3) *People are less mobile than activities*. (4) *The source approach would put tremendous pressure on the definition of source* (*ibid*) [emphasis added].

poses a barrier to the administration of taxes by source countries.¹¹⁹ An illustration of this perception is article 8 of the OECD Model Convention, which deals with the taxation of international shipping. Historically, one justification for allocating the exclusive right to tax this type of income to residence countries was the administrative infeasibility and compliance burden associated with apportioning profits to source countries.¹²⁰ On the other hand, source-based taxation may be preferred in some cases because the source country is viewed as more likely aware of the income and, therefore, better positioned to capture the tax.¹²¹ Overall, the international tax law requirement for some nexus between the taxing state and the taxable factor (person or property) as a precondition for the exercise of tax jurisdiction likely reflects the notion that, without such nexus, it may be impracticable for a state to enforce its tax outside its territorial boundaries.¹²² Although there are no absolute barriers to the enforcement of another country's tax laws, countries typically do not enforce the tax laws of one another.¹²³

Administrative feasibility also underpins the broadly accepted categorization of income into active and passive income. Active income is taxable at source on a net basis because there is a sufficient presence of the taxpayer in the source country to rely on filing and assessment of their tax return.¹²⁴ In contrast, passive income is taxed on a gross basis, by withholding obligations imposed jointly and

119. *Ibid.*

120. Maisto, *supra* note 88.

121. Ring, "International Tax Relations," *supra* note 12 at 117.

122. Harris & Oliver, *supra* note 4 at 44.

123. See Alan R Johnson, Lawrence Nirenstein & Stephen E Wells, "Reciprocal Enforcement of Tax Claims through Tax Treaties" (1980) 33 Tax Law 469; Brenda Mallinak, "The Revenue Rule: A Common Law Doctrine for the Twenty-First Century" (2006) 16 Duke J Comp & Intl L 79. Mallinak argues that "[t]he revenue rule, a common law doctrine with origins in the eighteenth century, is a battleground in the twenty-first century....In its modern form the revenue rule generally allows courts to decline entertaining suits or enforcing foreign tax judgments or foreign revenue laws" (*ibid* at 79). Few countries—e.g., the United States and Canada—have collection language in their tax treaties. See *Convention between Canada and the United States of America with Respect to Taxes on Income and on Capital*, 26 September 1980 as amended by *Protocols Amending the Convention Between Canada and the United States*, 14 June 1983, 28 March 1984, 17 March 1995, 29 July 1997, 21 September 2007, art XXVI A(1); Sunita Doobay & Stanley C Ruchelman, "Collecting Another Country's Taxes – Recent Experience in the Canada-U.S. Context" (November 2019), online (pdf): *Blaney McMurtry LLP* <www.blaney.com/files/29173_collecting_another_countries_taxes_recent_experience_in_the_canada-u_s_context.pdf> [perma.cc/S82W-69W8].

124. See Richard Vann, "Current Trends in Balancing Residence and Source Taxation" (Sydney Law School Legal Studies Research Paper No 14/107, 2014) at 5, online: <ssrn.com/abstract=2538269> [perma.cc/GHM5-GJQ8].

severally on the payor and payee.¹²⁵ Crucially, the withholding tax mechanism offers convenience for the source country's tax authority because tax can be collected from the payee who likely has a physical presence in the state.¹²⁶

The initial distribution was built on these normative foundations, *i.e.*, as a bargain between states with competing evidence of economic allegiance, accounting for the feasibility of enforcing different tax obligations at residence and source. Where, for instance, one state is a residence state and another a source state, the bargain determines who gets to tax what income and to what extent. These decisions are products of political compromise, overlaying the economic conception of what creates wealth for taxpayers, as well as the question of what tax is realistically enforceable.

The bargain for the initial distribution was a highly political and complex process.¹²⁷ It took the active involvement of technical experts, political actors, and business interests to produce.¹²⁸ The historical context of the bargain matters. It occurred mainly during an era of world wars, post-war recovery, and pervasive colonialism, without broad political or civic engagement, and with gaping economic and political inequality of bargaining power—especially between capital-importing and capital-exporting countries.¹²⁹ Consequently, the negotiations were predominantly driven by high-income countries of Europe and North America.¹³⁰ It is worth stressing that the political compromise that was reached was one that the negotiating states considered a fair, albeit imperfect, compromise at the time, despite their differences.¹³¹ These negotiating states, to reiterate, were mostly OECD members.¹³² Yet, due to the integration of countries' economies, the apparent imperative of participation in a collective rules-based order, and the large-scale transplantation of international tax norms

125. *Ibid.*

126. See Hugh J Ault, "Corporate Integration, Tax Treaties and the Division of the International Tax Base: Principles and Practices" (1992) 47 Tax L Rev 565 at 570.

127. See Picciotto, *supra* note 24; Ring, "International Tax Relations," *supra* note 12; Jogarajan, *supra* note 91; Maisto *supra* note 88.

128. Genschel & Rixen, *supra* note 14.

129. *Ibid.*

130. For some discussion of the political process of the initial distribution, see Wang, *supra* note 14; Picciotto, *supra* note 24 at 18-39; Ring, "International Tax Relations," *supra* note 12; Jogarajan, *supra* note 91; Magalhães, "International Tax Law," *supra* note 87.

131. Ring, "International Tax Relations," *supra* note 12.

132. Some of the early participants include Argentina, Belgium, Czechoslovakia, France, Germany, Italy, Japan, the Netherlands, Poland, Switzerland, the United Kingdom, the United States, and Venezuela. In contrast, most African countries were still under colonialism until the 1960s and did not have a place at the table.

from high-income to low-income countries, all countries, including those that could not or did not participate in its initial negotiation and formation became adherents to the regime.¹³³ Low-income countries, often persuaded by Global North experts and institutions, incorporated these bargains into their legislation and tax treaties.¹³⁴

Because the initial distribution was built on certain underlying economic and administrative factors that prevailed during its formative time, as well as the notion that it reflected a fair and equitable compromise, we should expect fundamental changes in these underlying factors to trigger changes in the regime to accord with prevailing notions of inter-nation equity. Accordingly, the imperative for reform and renegotiation of the subsisting bargain arises as economists' understanding of what creates wealth evolves, new levels of administrative competence enable tax authorities to surmount previous barriers to the collection of certain taxes, and the unfair tax revenue distribution of the existing bargain towards certain countries becomes evident. In other words, the imperative for international tax reform is not predicated on the generosity of high-income countries to bail out low-income countries with "tax aid," but rather on the need to maintain an international tax regime that responds to changes in its underlying determinants—economics and administrability—and does not disproportionately and unfairly rob certain countries of their taxing rights.

133. For an explanation of the convergence of countries around the double taxation regime, see Elliott Ash & Omri Marian, "The Making of International Tax Law: Empirical Evidence from Tax Treaties Text" (2020) 24 Fla Tax Rev 151; Genschel & Rixen, *supra* note 14. For the role of Global North experts and institutions in the dissemination and universalization of Global North-developed international tax norms, see Carl S Shoup, *Report on Japanese Taxation by the Shoup Mission* (General Headquarters, Supreme Commander for the Allied Powers, 1949); Carl S Shoup et al, *The Fiscal System of Venezuela: A Report* (The Johns Hopkins Press, 1959); International Bank for Reconstruction and Development, *The Economic Development of Tanganyika* (The Johns Hopkins Press, 1961); Nicholas Kaldor, "Will Underdeveloped Countries Learn to Tax?" (1963) 41 Foreign Aff 410, DOI: <<https://doi.org/10.2307/20029626>>; Carl S Shoup et al, *The Tax System of Liberia: Report of the Tax Mission* (Columbia University Press, 1970); Miranda Stewart & Sunita Jogarajan, "The International Monetary Fund and Tax Reform" (2004) Brit Tax Rev 146; Roy W Bahl & Richard M Bird, "Tax Policy in Developing Countries: Looking Back—and Forward" (2008) 61 Nat'l Tax J 279, DOI: <<https://doi.org/10.17310/ntj.2008.2.06>>; Odd-Helge Fjeldstad, "Tax and Development: Donor Support to Strengthen Tax Systems in Developing Countries" (2014) 34 Pub Admin & Dev 182, DOI: <<https://doi.org/10.1002/pad.1676>>; Kim Brooks, "Portrait of a Tax Transplant Artist" (2020) 48 Intertax 698, DOI: <<https://doi.org/10.54648/TAXI2020065>>; Sunita Jogarajan, "The Origins of the International Tax Regime" in Yariv Brauner, ed, *Research Handbook on International Taxation* (Edward Elgar, 2020) 13, DOI: <<https://doi.org/10.4337/9781788975377.00012>>.

134. *Ibid.*

Practically, this means that significant changes in the factors underlying the initial distribution should drive countries to redefine the boundaries of residence.¹³⁵ Refusal or failure to respond to such changes is dereliction from the allocative justice component of inter-nation equity.

The question that follows, therefore, is whether there are such significant changes in the underlying determinants of the initial distribution to warrant reform. We attempt to address this central question by resolving three sub-questions: (1) are there significant changes to our understanding of what provides or constitutes economic value?; (2) do current levels of administrative competence support a review of certain restrictions on the exercise of source-based tax jurisdiction?; and (3) are there sufficient facts to make us consider the initial restriction of source taxing rights to be disproportionate and unfair towards low-income countries?

B. OUR UNDERSTANDING OF WHAT PROVIDES OR CONSTITUTES ECONOMIC VALUE HAS CHANGED

The initial distribution of taxing rights was built on then-existing perceptions of what provides economic value or creates wealth for taxpayers.¹³⁶ The main

135. See Romero JS Tavares & Jeffrey Owens, “Human Capital in Value Creation and Post-BEPS Tax Policy: An Outlook” (2015) 69 BFIT 590, DOI: <<https://doi.org/10.59403/15tknh7>>.

136. The theoretical constructs that underpin the initial distribution of taxing rights, and the principles of international tax generally, were almost exclusively conceptualized by Global North experts and institutions and (as previously stated) transposed to countries around the world as universal norms. This means that Global North experts have had an overwhelming impact on what we regard as constituting value. Whatever the inadequacies of these conceptions, it is hard to dismiss the potential distributional impact of this epistemic monopoly in a world where we strive to tax income “where value is created.” See Allison Christians & Laurens van Apeldoorn, “Taxing Income Where Value Is Created” (2018) 22 Fla Tax Rev 1, DOI: <<https://doi.org/10.5744/ft.2018.1014>>. For this reason, it is imperative, for allocative justice, that we better accommodate the theoretical perspectives of the Global South in forward-looking attempts to reimagine the apportionment of taxing rights according to value creation. Already we can see some emergent economic powers in the traditional Global South (BRICS) pushing for alternative approaches like location savings in attempts to preserve their tax jurisdiction. For insights on how Global North experts have shaped dominant economic thought and tax principles, see *1923 Report*, *supra* note 5; Steven G Medema & Warren J Samuels, eds, *The History of Economic Thought: A Reader* (Routledge, 2003), DOI: <<https://doi.org/10.4324/9780203380291>>; Alessandro Roncaglia, *The Wealth of Ideas: A History of Economic Thought* (Cambridge University Press, 2005), DOI: <<https://doi.org/10.1017/CBO9780511492341>>; Ernesto Screpanti & Stefano Zamagni, *An Outline of the History of Economic Thought*, 2nd ed (Oxford University Press, 2005), DOI: <<https://doi.org/10.1093/0199279144.001.0001>>; William J Barber, *A History of Economic Thought*, 1st ed (Wesleyan University Press, 2009); Jürgen G Backhaus, ed, *Handbook of the History of Economic Thought: Insights on the Founders of Modern Economics* (Springer,

illustration in the 1923 report is of oranges that are grown in the fields of California and then processed all the way to the point where they are sold to the final consumer in another location—*i.e.*, another country.¹³⁷ The illustration captures a chain of economic activities that take place in several physical locations. Each of these activities is deemed to contribute to the taxpayer's wealth. In a sense, the oranges from California scenario depicts what is often viewed as the “brick-and-mortar” economy: an economic system that is predicated on the tangible manifestation of income-yielding activities or properties.¹³⁸ Historically, the international tax system was built around the brick-and-mortar economy, especially in determining the approach to the taxation of business profits (active business income).¹³⁹ The system confines source taxation of business profits to the existence of a physical presence—a permanent establishment—in the source country.¹⁴⁰ The permanent establishment nexus may take various forms: a place of management, a branch, an office, a workshop, a factory, a mine, an oil and gas well, et cetera.¹⁴¹ It also includes a building or construction site, although in these cases, the nexus only forms if the activity endures for a specified period of time.¹⁴²

The permanent establishment rule does not capture every degree of presence that a taxpayer may have in a foreign country, at least in a modern sense. Instead, it captures only certain prescribed forms or degrees of physical presence that were at the time of the initial bargain agreeable to the countries that were present at the negotiating table.¹⁴³ In other words, this highly significant rule of taxing rights

2012), DOI: <<https://doi.org/10.1007/978-1-4419-8336-7>>; Fritz Brugger & Rebecca Engbrechtsen, “Defenders of the Status Quo: Making Sense of the International Discourse on Transfer Pricing Methodologies” (2022) 29 *Rev Intl Political Econ* 307, DOI: <<https://doi.org/10.1080/09692290.2020.1807386>>.

137. See *1923 Report*, *supra* note 5 at 22-23.

138. See Kathleen P Lundy, “The Taxation of E-Commerce: The Inapplicability of Physical Presence Necessitates an Economic Presence Standard” (2001) 8 *Rich JL & Tech* 12; Lara Friedlander & Scott Wilkie, “The History of Tax Treaty Provisions—And Why It Is Important to Know About It” (2007) 54 *Can Tax J* 907 at 910.

139. See David R Tillinghast, “The Impact of the Internet on the Taxation of International Transactions” (1996) 50 *BIFD* 524; Louise Fjord Kjærsgaard & Peter Koerver Schmidt, “Allocation of the Right to Tax Income from Digital Intermediary Platforms - Challenges and Possibilities for Taxation in the Jurisdiction of the User” (2018) *Nordic J Commercial L* 146 at 148.

140. See OECD, *Model Tax Convention*, *supra* note 15, art 7; López, *supra* note 85; Julie Bellemare, “Evolution of the Permanent Establishment Concept” (2017) 65 *Can Tax J* 725.

141. See OECD, *Model Tax Convention*, *supra* note 15, art 5(2).

142. *Ibid*, art 5(3) (requiring a “twelve month” period for a building site to constitute a permanent establishment).

143. See Wang, *supra* note 14; Picciotto, *supra* note 24 at 24.

allocation emerged as a political compromise that was meant to enable residence countries to retain the exclusive right to tax the worldwide business profits of their enterprises, while only allowing source countries to tax those enterprises where their economic activities were elevated to a certain threshold of physical connection to a location in the source country.¹⁴⁴

One major feature of the compromise was its exclusion of demand-side activities as sufficient nexus for source country taxation. In other words, nexus was confined to supply-side activities, *i.e.*, production activities that strictly precede the sale, consumption, or use of goods and services.¹⁴⁵ By implication, no physical location meant that taxing rights could not be exercised, even if there was substantial (non-physical) engagement of the business with the source state.¹⁴⁶ This compromise made sense in a pre-digitalization economy where the market—which means consumption and customers—was generally not regarded as a significant contributor to wealth creation.¹⁴⁷ Until the late twentieth century, a majority of the world's most valuable MNEs were either banks, with substantial physical assets, or industrial entities that engaged in physical enterprises like mining, construction, and manufacturing.¹⁴⁸ These were entities that, generally, needed some form of physical presence in a country to be able to do business there. Therefore, nexus could be formed in the source country when the non-resident enterprise established a physical presence there. In those circumstances, it was defensible to tie taxation to physical presence.

The paradigms of economics and wealth creation evolve with time. We have moved from an era of “classical value chains” to an increasingly knowledge-driven economy, where marketing intangibles such as trademarks, customer lists,

144. *Ibid.*

145. See Georg Kofler, Gunter Mayr & Christopher Schlager, “Taxation of the Digital Economy: A Pragmatic Approach to Short-Term Measures” (2018) 58 ET 123 at 124, DOI: <<https://doi.org/10.59403/35fyx7b>>.

146. This may be viewed as a practical deviation from the 1923 *Report* which regards consumption as a part of the wealth creation chain, entitling the country of consumption to tax income. See *supra* note 5.

147. See Vikram Chand, “Allocation of Taxing Rights in the Digitalized Economy: Assessment of Potential Policy Solutions and Recommendation for a Simplified Residual Profit Split Method” (2019) 47 Intertax 1023 at 1028-29, DOI: <<https://doi.org/10.54648/taxi2019106>>.

148. See Paul E Steiger, “What a difference 25 Years makes,” *CNBC* (29 April 2014), online: <www.cnbc.com/2014/04/29/what-a-difference-25-years-makes.html> [perma.cc/3WUJ-9NYM]; Stefan Palios, “The Biggest Companies in the World: 50 Years Ago and Today” (5 November 2019), online: *Pulse Blueprint* <pulseblueprint.com/lifestyle/learning/biggest-companies-in-the-world-50-years-ago-and-today> [perma.cc/WM5T-QRVU].

and user data, as well as production intangibles such as patents, have become increasingly important revenue drivers for some of the most profitable MNEs.¹⁴⁹ In addition, the emergence of digitalization has provided MNEs with unprecedented tools to engage in significant—and profitable—economic activities in other countries without the customary need to establish a physical presence.¹⁵⁰ These developments have broad implications, not just in terms of the existing threshold (physical presence) for the exercise of source tax jurisdiction, but also in terms of the attribution of MNEs' income between competing source countries. International tax rules must adapt to these shifts in the patterns of wealth creation, otherwise there could be spiralling discontent with the subsisting bargain for the distribution of taxing.¹⁵¹ This entails adjusting the source nexus thresholds to align with modern economic realities.

149. See Kofler, Mayr & Schlager, *supra* note 145; *Co-coordinator's Report on Work of the Subcommittee on Transfer Pricing*, UN DESA, 18th Sess, Committee of Experts on International Cooperation in Tax Matters, UN Doc E/C.18/2019/CRP.1; Ioannis Zachariadis, *Multinational Enterprises, Value Creation and Taxation: Key Issues and Policy Developments*, Briefing PE 637.971 (European Parliamentary Research Service, 2019); Alan J Auerbach, "Demystifying the Destination-Based Cash-Flow Tax" (2017) Brookings Papers on Econ Activity 409 at 413, DOI: <<https://doi.org/10.1353/eca.2017.0017>>; Julia Sinnig, "The Reflection of Data-Driven Value Creation in the 2018 OECD and EU Proposals" (2018) 27 EC Tax Rev 325, DOI: <<https://doi.org/10.54648/ECTA2018035>>; OECD, *Addressing the Tax Challenges of the Digitalisation of the Economy: Public Consultation Document* (OECD, 2019).

150. See Maarten F de Wilde, "Tax Jurisdiction in a Digitalizing Economy; Why 'Online Profits' are so Hard to Pin Down" (2015) 43 Intertax 796, DOI: <<https://doi.org/10.54648/TAXI2015072>>; David R Agrawal & William F Fox, "Taxes in an E-Commerce Generation" (2017) 24 Intl Tax & Pub Finance 903, DOI: <<https://doi.org/10.1007/s10797-016-9422-3>>; Francois Chadwick, "International Tax Rules for the Digital Era" (2019) Tax Notes Intl 709; Itai Grinberg, "International Taxation in an Era of Digital Disruption: Analyzing the Current Debate" (2019) 97 Taxes 73, DOI: <<https://doi.org/10.2139/ssrn.3275737>>; Pasquale Pistone, João Félix Pinto Nogueira & Betty Andrade, "The 2019 OECD Proposals for Addressing the Tax Challenges of the Digitalization of the Economy: An Assessment" (2019) Intl Tax Studies 3, DOI: <<https://doi.org/10.59403/2b9h5p9>>.

151. It is partly this air of discontent with the existing regime that has driven states to explore, both unilaterally and multilaterally, different solutions for taxing the profits of MNEs. It is fair to state that tax policymakers recognize these fundamental changes, which is why they have worked out a political compromise to expand the existing nexus for source state taxation to include the taxation of MNEs without a physical presence. Economic thinkers construct the normative foundations by demonstrating the heightened relevance of the market and intangibles to the creation of wealth for non-resident MNEs in the digital era. See *e.g.*, Karl R Lang & Ting Li, "Introduction to the Special Issue: Business Value Creation Enabled by Social Technology" (2013) 18 Intl J Electronic Commerce 5, DOI: <<https://doi.org/10.2753/JEC1086-4415180200>>; Johannes Becker & Joachim Englisch, "Taxing

C. WHAT TAXES CAN BE COLLECTED AND HOW THAT HAS EVOLVED (ADMINISTRATIVE DEVELOPMENTS)

We highlighted earlier the influence of administrative feasibility on the exercise of taxing rights by residence and source countries, particularly its impact on the restriction of source-based taxation. We portrayed administrative feasibility as a realist component of tax jurisdiction. In this segment, we amplify the point that administrative feasibility, like other components of tax jurisdiction, is evolutionary. Therefore, as countries' administrative competence appreciates, so too does their overall competence to assert tax jurisdiction. In other words, whether a country *can* collect a tax is an important component of the decision about whether it should. This view is most relevant when we consider a source country's capacity to collect taxes on non-residents. We highlight some developments in tax administration that strengthen the case for greater source-based taxation. We also stress that the apparent superior appeal of residence-based taxation—especially residence-only taxation¹⁵²—has been partially eroded by experiences in tax administration, namely the factors of capital (and legal) residence mobility.¹⁵³

The international tax regime should promote efficiency but also ensure that taxes are collected when due, either at residence or source. The tax regime entrenched by the original bargain embodies these principles. It was meant to ensure, on the

Where Value Is Created: What's 'User Involvement' Got to Do with It?" (2019) 47 Intertax 161, DOI: <<https://doi.org/10.54648/TAXI2019015>>; Wei Cui, "The Digital Services Tax: A Conceptual Defense" (2019) 73 Tax L Rev 69, DOI: <<https://doi.org/10.2139/ssrn.3273641>>; Schön, *supra* note 85; Haslehner & Lamensch, *supra* note 8; Gabriel Antonio Sullivan, "Digital Economy – Value generation, Taxing Powers and Proposal for the Income Tax Collection" (29 September 2020), online: *CIAT* <www.ciat.org/ciatblog-generacion-de-valor-potestad-tributaria-y-propuesta-para-la-recaudacion-del-ir/?lang=en> [perma.cc/JM32-F9GJ]; Gaurav Dhooper, "Drivers Of Value Creation In Digital Economy" (27 August 2020), online: *AIM* <analyticsindiamag.com/drivers-of-value-creation-in-digital-economy> [perma.cc/SDP4-QZTS]; Zhenlong Miao, "Digital Economy Value Chain: Concept, Model Structure, and Mechanism" (2021) 53 Applied Econs 4342, DOI: <<https://doi.org/10.1080/00036846.2021.1899121>>.

152. See Ring, "International Tax Relations," *supra* note 12 at 117.

153. See Musgrave, "Interjurisdictional Equity," *supra* note 16 at 49; Peter Dietsch, *Catching Capital: The Ethics of Tax Competition* (Oxford University Press, 2015), DOI: <<https://doi.org/10.1093/acprof:oso/9780190251512.001.0001>>; Ivan O Ozai, "Tax Competition and the Ethics of Burden Sharing" (2018) 42 Fordham Intl LJ 61; Brooks & Krever, *supra* note 18 at 165. As noted by Brooks & Krever:

Since the early days of treaty design spearheaded by the League of Nations, times have changed dramatically. Globalization, financial innovation, and increased reliance on services and intangibles as the key generators of business profit have undermined or largely eliminated the potential for simpler administration of residence-based taxation (*ibid.*).

one hand, that tax does not impede cross-border economic activities, but also to ensure, on the other hand, that countries could fairly share among themselves the tax revenues that arose from such activities.¹⁵⁴ However, the international tax regime has failed to a certain degree to fulfill the latter objective because the regime is simply no match for the ingenuity of tax lawyers, bankers, and accountants who operate with an array of tax planning techniques and sophisticated technological equipment.¹⁵⁵ These changes in conditions surrounding the collection of tax have negated earlier held impressions that residence-based taxation should be accorded priority because of its, presumably, greater capacity to capture taxes.¹⁵⁶ On the other hand, the scope for source-based taxation can potentially benefit from the advances that countries have made in administrative capacity.¹⁵⁷ For instance, unlike the post-war period that was marked by “a complete absence of international, inter-institutional collaboration” on tax administration, since the 1970s, there has been a steady shift towards transparency and exchange of taxpayer information between countries, especially since the 2008 global financial crisis and consequent launch of the OECD’s transparency initiatives.¹⁵⁸ The financial crisis spurred a political awakening that has led countries to relax their financial secrecy regimes and adopt a large network of bilateral and multilateral exchange

154. See Avi-Yonah, “The Structure of International Taxation,” *supra* note 92; Ring, “International Tax Relations,” *supra* note 12.

155. See Prem Sikka & Mark P Hampton, “The Role of Accountancy Firms in Tax Avoidance: Some Evidence and Issues” (2005) 29 Accounting Forum 325, DOI: <<https://doi.org/10.1016/j.accfor.2005.03.008>>; Steven A Dean, “A Constitutional Moment in Cross-Border Taxation” (2021) 1 J on Financing for Development 1 at 10.

156. See Ring, “International Tax Relations,” *supra* note 12.

157. See e.g., OECD, *Tax Administration 2021: Comparative Information on OECD and Other Advanced and Emerging Economies* (OECD, 2021) at 3, DOI: <<https://doi.org/10.1787/cef472b9-en>>. The source states that

[o]ne of the trends identified in this and recent editions of the Tax Administration Series has been the increase in e-administration over recent years, with tax administrations investing significant resources in moving more of their processes online. This has not only enhanced service delivery, reduced burdens and improved compliance, but it has also made us more resilient (*ibid*).

158. Alberto Barreix, Jerónimo Roca & Fernando Velayos, *A Brief History of Tax Transparency*, Discussion Paper No IDP-DP-453 (Inter-American Development Bank, 2016), DOI: <<https://doi.org/10.18235/0000405>>.

of information regimes.¹⁵⁹ Despite their perceived shortcomings,¹⁶⁰ these measures take tax administration to unprecedented levels of sophistication.¹⁶¹ Also, digitalization has enabled a positive transformation of tax administration in many countries. Tools such as electronic filing, electronic accounting, electronic audit, and electronic assessment are now being used by many tax authorities.¹⁶²

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159. See OECD, *Declaration on Automatic Exchange of Information in Tax Matters* (OECD, 2014). The declaration enhances articles 4 and 6 of the *Convention on Mutual Administrative Assistance in Tax Matters* (opened for signature on 25 January 1988 and entered into force on 1 June 2011) which relate to the exchange of information for tax collection purposes. See also OECD, *Guidance on the Implementation of Country-by-Country Reporting: BEPS Action 13* (OECD, 2022). Taking the tax transparency initiative to a higher level, the European Union proposes to establish a public country-by-country reporting (CBCR) directive, which would require MNEs operating in the European Union single market to publicly disclose some key operational and tax payment information on a CBCR basis. See Council of the EU, “Public Country-by-Country Reporting: Council Paves the Way for Greater Corporate Transparency for Big Multinationals” (28 September 2021), online: <www.consilium.europa.eu/en/press/press-releases/2021/09/28/public-country-by-country-reporting-council-paves-the-way-for-greater-corporate-transparency-for-big-multinationals> [perma.cc/7QA7-895D].
 160. See e.g., Oladiwura Ayeyemi Eytayo, “Profit Shifting by Canadian Multinational Corporations: Prospects of Reversal under Canada’s Country-by-Country Reporting Rules” (2018) 26 Dal J Leg Stud 79 (arguing that Canada’s draft CBCR rules were inadequate for the purpose of combatting base erosion and profit shifting); Arco CP Bobeldijk & Paul Klaassen, “Country-by-Country Reporting and the Effective Tax Rate: How Effective Is the Effective Tax Rate in Detecting Tax Avoidance in Country-by-Country Reports?” (2019) 47 Intertax 1057, DOI: <<https://doi.org/10.54648/TAXI2019108>> (arguing that the effective tax rate calculated based on the CBCR cannot be accurately used in high level risk analyses of tax avoidance); Annet Wanyana Oguttu, “Curtailling BEPS through Enforcing Corporate Transparency: The Challenges of Implementing Country-by-Country Reporting in Developing Countries and the Case for Making Public Country-by-Country Reporting Mandatory” (2020) WTJ 167 (arguing that the absence of a public CBCR regime hampers the capacity of developing country tax administrations to access CBCR reports).
 161. See Felix Hugger, “The Impact of Country-by-Country Reporting on Corporate Tax Avoidance” (2019) CESifo, Working Paper No 304 (finding, in part, that CBCR reduces the shifting of profits from high tax jurisdictions); Preetika Joshi et al, “Does Public Country-by-Country Reporting Deter Tax Avoidance and Income Shifting? Evidence from the European Banking Industry” (2020) 37 Contemporary Accounting Research 2357, DOI: <<https://doi.org/10.1111/1911-3846.12601>> (finding, generally, that increased transparency from CBCR can deter tax-motivated income shifting).
 162. See Fjeldstad, *supra* note 133 at 187; Garima Pande & Rahul Patni, *Tax Technology and Transformation: Tax Functions ‘Go Digital’* (EY, 2017), online (pdf): <assets.ey.com/content/dam/ey-sites/ey-com/en_gl/topics/digital/ey-tax-technology-transformation.pdf> [perma.cc/Y4VQ-DR6R].

Although there are still technical shortcomings in their use,¹⁶³ the availability of these technologies—coupled with the automatic exchange of information regimes—undoubtedly bridges the physical gap and administrative constraints between tax authorities and non-residents. We must not ignore the significantly advanced—and evolving—international payment systems that now exist.¹⁶⁴ The requirement of a physical presence (permanent establishment) in a source state as a mandatory nexus for taxation of non-resident business profits can no longer be justified on administrability grounds, because even without such connection, taxes *can* be collected.

Earlier, we referred to the taxation of international shipping income as an example of where the right to tax was assigned exclusively to residence countries in part because of the difficulty of apportioning a shipping enterprise's income to different source countries.¹⁶⁵ Some scholars have rightly questioned the continued fairness of this compromise, given that technological advances now make it feasible to apportion and collect the tax at source, which would be more beneficial to many low-income countries.¹⁶⁶ Although the general position remains exclusive residence taxation, some countries have bucked the trend and demonstrated the feasibility of taxing international shipping income at source.¹⁶⁷ The OECD—the main coordinator of contemporary international tax reform—has not demonstrated a keenness to address this lingering issue, but the United Nations Tax Committee—which responds more directly to the tax revenue mobilization interests of low-income countries—has put in place a tax treaty framework that enables source countries to tax.¹⁶⁸ These developments point to the conclusion that administrability is no longer an effective barrier to

163. See Helena Strauss, Tyson Fawcett & Danie Schutte, "An Evaluation of the Digital Response of Tax Authorities to Optimise Tax Administration within the Digitalised Economy" (2020) 18 eJ Tax Research 382 at 389. The sampled countries were Australia, China, Finland, India, the United Kingdom, the United States, New Zealand, and South Africa.

164. Deloitte, *Economic Impact of Real-time Payments: Research Report* (Deloitte, 2019), online (pdf): <www2.deloitte.com/content/dam/Deloitte/uk/Documents/financial-services/deloitte-uk-economic-impact-of-real-time-payments-report-vocalink-mastercard-april-2019.pdf> [perma.cc/NZV4-8ZWN].

165. Maisto, *supra* note 88.

166. See Tatiana Falcão, "Can the Digital Economy Debate Improve the Taxation of International Shipping Profits?" (2020) 99 Tax Notes Intl 1065.

167. See Bob Michel & Tatiana Falcão, "Taxing Profits from International Maritime Shipping in Africa: Past, Present and Future of UN Model Article 8 (Alternative B)" (2021) International Centre for Tax and Development, Working Paper No 133 at 3, DOI: <<https://doi.org/10.19088/ICTD.2021.023>>.

168. See *Model Double Taxation Convention Between Developed and Developing Countries*, UN DESA, 2021, UN Doc ST/ES A/378 at 16-17.

source country taxation of international shipping. Source countries *can* collect this and many other taxes. Maintaining the status quo perpetuates a rule that disproportionately robs low-income countries of taxing rights.¹⁶⁹ This is because, especially for the shipping industry, high-income countries enjoy a significantly large ownership proportion of seagoing vessels¹⁷⁰ and, therefore, retain a greater chance of capturing the tax revenue that derives from international shipping—a highly valuable enterprise.¹⁷¹

D. WE BETTER UNDERSTAND THE RISKS OF ROBBING LOW-INCOME STATES OF TAX REVENUE

The initial distribution of international taxing rights emerged with some awareness of its tendency to favour some countries more than others.¹⁷² This is precisely why it was difficult to reach a “fair” compromise in the first place.¹⁷³ Two main clusters of countries—capital-exporting countries and capital-importing countries—negotiated the initial distribution.¹⁷⁴ They understood that a bargain that emphasized residence-based taxation would mostly favour capital-exporting countries, while capital-importing countries would gain more from a bargain that emphasized source-based taxation.¹⁷⁵ Eventually, the compromise that was

169. Michel & Falcão, *supra* note 167.

170. See Amar Mehta, “Taxation of Shipping Income under Tax Treaties — Development of Case Law in India” (2015) 21 Asia-Pacific Tax Bull, DOI: <<https://doi.org/10.59403/3j8bd9b>> (noting that about 90 per cent of India’s maritime cargo is handled by foreign carriers).

171. See Martin Placek, “Container Shipping – Statistics & Facts” (23 September 2021), online: Statista <www.statista.com/topics/1367/container-shipping/#topicHeader__wrapper> [perma.cc/C548-JXYC]. Placek states that “global maritime container trade is estimated to account for around 60 percent of all seaborne trade, which was valued at around 14 trillion U.S. dollars in 2019.”

172. See Wang, *supra* note 14; Picciotto, *supra* note 24; Ring, “International Tax Relations,” *supra* note 12; Genschel & Rixen, *supra* note 14.

173. *Ibid.*

174. Capital-exporting countries then were mainly the United States, the United Kingdom, and the Netherlands, while capital-importing countries were mainly France, Germany, and Italy. See Genschel & Rixen, *supra* note 14 at 160.

175. See Ring, “International Tax Relations,” *supra* note 12.

reached largely favoured residence country taxation.¹⁷⁶ That uneven compromise was understood to be more appropriate to govern economic relations between countries with similar economies and similar capital export capacities.¹⁷⁷ Between such countries, a tax treaty that mirrors the initial distribution formula could be deemed a relatively fair bargain.¹⁷⁸ Unfortunately, the bargain did not remain within high-income countries, particularly the OECD member states that dominated its formation. As the global economy became deeply integrated under a rules-based system designed by high-income countries, low-income countries have had to operate under this lopsided tax regime largely for a lack of options, as the power dynamics of international tax relations favour high-income countries.¹⁷⁹

176. See Kobetsky, *supra* note 104 at 142-49. Kobetsky describes the collision between capital-importing countries and capital-exporting countries over two draft model treaties that were framed around the end of the Second World War: the Mexico Model of 1943 and the London Model of 1946. The latter would eventually prevail largely due to its preference by the great powers. Ironically, the capital-importing countries of Europe grew into accepting the skewed arrangement after the emergence of many newly independent countries, especially in Africa, because these European countries were capital exporters to the newly independent countries. See also Genschel & Rixen, *supra* note 14 at 162.

177. See Ring, "International Tax Relations," *supra* note 12 at 123-24; Michel & Falcão, *supra* note 167; Thornton Matheson, Victoria Perry & Chandara Veung, "Territorial vs. Worldwide Corporate Taxation: Implications for Developing Countries" (2013) International Monetary Fund, Working Paper No 13/205 at 3, DOI: <<https://doi.org/10.5089/9781484329764.001>>. Matheson, Perry & Veung observe that "the historical framework for cross-border income tax arrangements, which began to evolve in the early twentieth century to handle income flows between advanced economies, appears increasingly poorly suited to allow low-income countries effectively to generate tax revenues from profits on foreign direct investment" (*ibid*).

178. Matheson, Perry & Veung, *supra* note 177; Genschel & Rixen, *supra* note 14.

179. See Jeffrey W Legro & Andrew Moravcsik, "Is Anybody Still a Realist?" (1999) 24 Intl Security 5, DOI: <<https://doi.org/10.1162/016228899560130>>; JC Sharman, "Seeing Like the OECD on Tax" (2012) 17 New Political Econ 17 at 24, DOI: <<https://doi.org/10.1080/13563467.2011.569022>>; Rocha, "The Other Side of BEPS," *supra* note 54 at 188; Magalhães, "International Tax Law," *supra* note 87; Emblad, *supra* note 104 at 18; Martin Hearson, *Imposing Standards: The North-South Dimension to Global Tax Politics* (Cornell University Press, 2021), DOI: <<https://doi.org/10.1515/9781501756009>>; Genschel & Rixen, *supra* note 14 at 162. Genschel & Rixen state that

[w]ith respect to non-Western states, all Western states were capital exporters. This facilitated their eventual convergence on the OECD Convention's heavily residence-based rules for taxing cross-border (passive) income flows. Second, power asymmetry: The Western countries dominated the world economy. They were the main global suppliers of real, financial, and human capital. The rest of the world depended on Western investment more than the West in turn depended on investment from the rest of the world. This gave Western governments extensive power to dictate the terms under which cross-border flows of investment income are taxed (*ibid*).

The regime's contribution to tax base erosion in low-income countries has become pronounced.¹⁸⁰ For instance, a study by Alex Cobham and Petr Janský captures the disproportionate loss of tax revenue as follows:

Our findings support a somewhat lower estimate of global revenue losses of around US\$500 billion annually and indicate that the greatest intensity of losses occurs in low-income and lower middle-income countries and across sub-Saharan Africa, Latin America and the Caribbean and South Asia.¹⁸¹

A 2018 ActionAid study of the revenue impact of tax treaties between fourteen low-income countries and high-income countries estimates that the low-income countries together lost billions of USD over a one-year period and that these losses were attributable to restrictions on source country taxation of interest and dividends alone.¹⁸² The Philippines is estimated to have suffered the most losses (509 million USD).¹⁸³ Investor countries like Japan, the Netherlands,

180. It may not have been as obvious in 1972 when the Musgraves published their landmark paper on inter-nation equity, but we have become better apprised of the dire effects of an international tax regime that effectively robs low-income countries of taxing rights. See Dirk Broekhuijsen & Henk Vording, "What May We Expect of a Theory of International Tax Justice?" in Dominic de Cogan & Peter Harris, eds, *Tax Justice and Tax Law: Understanding Unfairness in Tax Systems* (Hart, 2020) 155 at 160, DOI: <<https://doi.org/10.5040/9781509935024.ch-009>>. Broekhuijsen and Vording state that

the attractiveness of some international tax equity norm that would support the taxing rights of (developing) source countries is evident. The Musgraves' proposal to found an 'inter-nation tax equity' norm was not taken up quickly, perhaps because it did not address a problem felt to be urgent at the time. That only changed over the last two decades, and NGOs like Oxfam and Tax Justice deserve credit for it (*ibid*).

181. "Global Distribution of Revenue Loss from Corporate Tax Avoidance: Re-Estimation and Country Results" (2018) 30 J Intl Development 206, DOI: <<https://doi.org/10.1002/jid.3348>>. See also Linnea Mills, *Barriers to Increasing Tax Revenue in Developing Countries*, K4D Helpdesk Report (Institute of Development Studies, 2017). Linnea states that

[m]any developing countries have effectively signed away their rights to tax multinational companies operating within their borders through bilateral tax treaties. Aggregate estimates of the scale of the problem are not available but some country assessments are indicative of the problem. It is estimated that developing countries lost over US\$ 800 million in 2011 as a result of treaties with the Netherlands alone, and estimates show that US tax treaties cost non-OECD countries around US\$ 1.6 billion in 2010 (*ibid* at 2).

182. *The Impact of Tax Treaties on Revenue Collection: A Case Study of Developing and Least Developed Countries* (ActionAid International Secretariat, 2018).

183. *Ibid*.

Singapore, and Switzerland were together responsible for more than half of the estimated losses.¹⁸⁴

Low-income countries, being mainly capital importers, tend to be source—rather than residence—countries for MNEs.¹⁸⁵ Low-income countries place a heavier reliance on corporate taxes than high-income countries.¹⁸⁶ Yet, some of the tax treaties that high-income countries sign with low-income countries significantly restrict source-based taxation, both of business profits and passive income.¹⁸⁷ Thus, these tax treaties systematically rob low-income countries of much-needed tax revenue.¹⁸⁸ For many low-income countries, these losses are not offset by gains from residence-based taxation due to asymmetry in capital export capacity.¹⁸⁹

Further, the sheer complexity of the international tax system—especially its reliance on separate entity accounting and the arm's length profit allocation system—disproportionately harms low-income countries due to greater perceived

184. *Ibid.*

185. See Eric Neumayer, “Do Double Taxation Treaties Increase Foreign Direct Investment to Developing Countries?” (2007) 43 *J Dev Stud* 1501, DOI: <<https://doi.org/10.1080/00220380701611535>>.

186. See Richard M Bird & Eric M Zolt, “Redistribution via Taxation: The Limited Role of the Personal Income Tax in Developing Countries” (2005) 52 *UCLA L Rev* 1627 at 1656; Ernesto Crivelli, Ruud De Mooij & Michael Keen, “Base Erosion, Profit Shifting and Developing Countries” (2016) 72 *FinanzArchiv* 268 at 269, DOI: <<https://doi.org/10.1628/001522116X14646834385460>>; Reuven S Avi-Yonah, “Hanging Together: A Multilateral Approach to Taxing Multinationals” (2016) 5 *Michigan Bus & Entrepreneurial L Rev* 137 at 139, DOI: <<https://doi.org/10.36639/mbelr.5.2.hanging>> [Avi-Yonah, “Hanging Together”]; Martin Hearson, “The Challenges for Developing Countries in International Tax Justice” (2018) 54 *J Dev Stud* 1932 at 1933, DOI: <<https://doi.org/10.1080/00220388.2017.1309040>>.

187. See Brooks & Krever, *supra* note 18; ActionAid, *supra* note 182; Ring, “Democracy,” *supra* note 18 at 584. Ring notes:

Bilateral double tax treaties face scrutiny as inappropriately favoring capital exporting nations through their allocation of primary and residual taxing rights. Developing countries reportedly have made “concessions” in tax treaties without a full awareness of their implications because they believed the provisions were standard and because the provisions were formally reciprocal (enhancing their appearance of mutuality and comparable impact) (*ibid.*).

188. See Tsilly Dagan, “The Tax Treaties Myth” (2000) 32 *NYUJ Intl L & Pol* 939 at 939 [Dagan, “Tax Treaties Myth”]. Dagan states that tax treaties “serve...much more cynical goals, particularly redistributing tax revenues from the poorer to the richer signatory countries.”

189. See Fabian Barthel, Matthias Busse & Eric Neumayer, “The Impact of Double Taxation Treaties on Foreign Direct Investment: Evidence from Large Dyadic Panel Data” (2010) 28 *Contemporary Econ Pol’y* 366, DOI: <<https://doi.org/10.1111/j.1465-7287.2009.00185.x>>.

limits in administrative capacity.¹⁹⁰ We witness the conspicuous domestic revenue erosion of many low-income countries that results from the application of international tax rules framed by high-income countries.¹⁹¹ It is implicit that an international tax system that robs low-income countries of tax revenue indirectly contributes to perpetuating the problems of poverty and underdevelopment that prevail in such countries.¹⁹²

High-income countries typically respond to the symptoms of revenue shortage in low-income countries by trying to teach low-income countries

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190. See David McNair, Rebecca Dottey & Alex Cobham, "Transfer Pricing, and the Taxing Rights of Developing Countries" (2010), online (pdf): *Christian Aid* <www-staging.christianaid.ie/sites/default/files/2017-08/transfer-pricing-november-2010_0.pdf> [perma.cc/K634-WSV4]; Joel Cooper et al, *Transfer Pricing and Developing Economies: A Handbook for Policy Makers and Practitioners* (World Bank Group, 2017) at 9, DOI: <<https://doi.org/10.1596/978-1-4648-0969-9>>; Annet Wanyana Oguttu, "Tax Base Erosion and Profit Shifting in Africa - Part 2: A Critique of Some Priority OECD Actions from an African Perspective - Preventing Excessive Interest Deductions and Tax Treaty Abuse" (2016) 49 Comp & Intl LJS Afr 130; UNCTAD, *Tackling Illicit Financial Flows for Sustainable Development in Africa. Economic Development in Africa Report* (United Nations, 2020).
 191. See e.g., Cobham & Janský, *supra* note 181; Muhammad Ashfaq Ahmed, "United Nations Model Tax Convention Article 5: The Predatory Ploy – A Neo-Marxist Mapping of the Permanent Establishment" (2020) 17 Manchester J Intl Econ L 186.
 192. See Clemens Fuest & Nadine Riedel, *Tax Evasion, Tax Avoidance and Tax Expenditures in Developing Countries: A Review of the Literature* (UK Department for International Development, 2009), online: <www.gov.uk/research-for-development-outputs/tax-evasion-tax-avoidance-and-tax-expenditures-in-developing-countries-a-review-of-the-literature> [perma.cc/EW52-AF9X]; Favourable Sebele-Mpofu, Eukeria Mashiri & Samantha Chantelle Schwartz, "An Exposition of Transfer Pricing Motives, Strategies and Their Implementation in Tax Avoidance by MNEs in Developing Countries" (2021) 8 Cogent Bus & Mgmt 1, DOI: <<https://doi.org/10.1080/23311975.2021.1944007>>. For a more positive take, see Hema Soondram, Martin Samy & Bhavish Jugurnath, "The Social Welfare Impact of Double Tax Treaties in Sub Saharan Africa" (2022) 18 Soc Responsibility J 141, DOI: <<https://doi.org/10.1108/SRJ-08-2020-0326>>. Soondram, Samy and Jugurnath find

that (i) the net effect from the complementarity between tax revenue and double tax treaty (DTTs) in influencing the human development is for the most part negative[;] (ii) the impact of tax revenue from international trade has the most positive net effect as compared to other tax revenues when interacted with the DTT[;] and (iii) the DTT complements the tax revenue from income, profits and capital gains to progressively increase human development in the upper quartiles of HDI (*ibid* at 141).

how to tax,¹⁹³ providing ODA,¹⁹⁴ or patching up the tax system with piecemeal changes.¹⁹⁵ Teaching to tax remains a flawed solution because some of the rules that are imposed on low-income countries overwhelm their capacity (although there are mechanisms that might assist in this regard) and are susceptible to base erosion strategies.¹⁹⁶ Aid is inadequate to address the fiscal shortfalls in low-income countries because, for every bit of aid received, low-income countries lose significantly more revenue to international tax base erosion.¹⁹⁷ Programs like the MDGs and the SDGs are susceptible to failure because of inadequate funding.¹⁹⁸ What seems to be ignored, perhaps deliberately, is that some of these piecemeal solutions may not be necessary if our international tax system were made fairer and more reflective of modern realities.

Indeed, the keenness of high-income countries to reform the allocation of taxing rights in respect of the digital economy evidences their awareness and acceptance of the fact that changes in the underlying premises of the initial distribution—economic value creation and administrative feasibility—also

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193. An example is the Tax Inspectors Without Borders (TIWB), a joint initiative of the OECD and the United Nations Development Program (UNDP) which shares expert assistance and transfers tax audit experience with tax administrations in developing countries. For a summary of the European Union's efforts, see Giulia Mascagni, Mick Moore & Rhiannon McCluskey, *Tax Revenue Mobilisation in Developing Countries: Issues and Challenges* (European Union, 2014) at 19–24, online (pdf): *European Parliament* <[www.europarl.europa.eu/RegData/etudes/etudes/join/2014/433849/EXPO-DEVE_ET\(2014\)433849_EN.pdf](http://www.europarl.europa.eu/RegData/etudes/etudes/join/2014/433849/EXPO-DEVE_ET(2014)433849_EN.pdf)> [perma.cc/E4PF-5ND3].
194. Tony Addison, George Mavrotas & Mark McGillivray, "Development Assistance and Development Finance: Evidence and Global Policy Agendas" (2005) 17 *J Intl Development* 819, DOI: <<https://doi.org/10.1002/jid.1243>>; Léonce Ndikumana, "International Tax Cooperation and Implications of Globalization" in José Antonio Alonso & José Antonio Ocampo, eds, *Global Governance and Rules for the Post-2015 Era: Addressing Emerigng Issues in the Global Environment* (Bloomsbury, 2015); Falcão, "Linking Policies," *supra* note 50.
195. Magalhães, "What Is Really Wrong," *supra* note 54 at 511.
196. Vet, Cassimon & de Vijver, *supra* note 31.
197. See Alex Cobham, "Tax Evasion, Tax Avoidance and Development Finance" (2005) Queen Elizabeth House, Working Paper No 129; Jason Hickel, "Aid in Reverse: How Poor Countries Develop Rich Countries," *The Guardian* (14 January 2017) online: <www.theguardian.com/global-development-professionals-network/2017/jan/14/aid-in-reverse-how-poor-countries-develop-rich-countries> [perma.cc/Y9KT-GAUF].
198. See Suborna Barua, "Financing Sustainable Development Goals: A Review of Challenges and Mitigation Strategies" (2020) 3 *Bus Strategy & Development* 277, DOI: <<https://doi.org/10.1002/bsd2.94>>; United Nations Inter-agency Task Force on Financing for Development, *Financing For Sustainable Development Report 2021* (United Nations, 2021); James X Zhan & Amelia U Santos-Paulino, "Investing in the Sustainable Development Goals: Mobilization, Channeling, and Impact" (2021) 4 *J Intl Bus Pol'y* 166, DOI: <<https://doi.org/10.1057/s42214-020-00093-3>>.

warrant changes in allocation formula.¹⁹⁹ Their push for these specific reforms also evidences the fact that they no longer view the existing bargain as still producing a fair and equitable distribution of tax revenue among them.²⁰⁰ Unfortunately, as Christians and Magalhães rightly observe, high-income countries have chosen to narrowly define the changes that are required to make the international tax regime fairer.²⁰¹ They have opted to focus only on taxation of the digital economy—a priority for high-income countries—while deflecting from longstanding issues of rebalancing the allocation of taxing rights between them and low-income countries.²⁰²

199. See Pinto, *supra* note 8.

200. For efforts of reforms, see *e.g.*, Eli Hadzhieva, *Tax Challenges in the Digital Economy* (European Union, 2016), online (pdf): *European Parliament* <[www.europarl.europa.eu/RegData/etudes/STUD/2016/579002/IPOL_STU\(2016\)579002_EN.pdf](http://www.europarl.europa.eu/RegData/etudes/STUD/2016/579002/IPOL_STU(2016)579002_EN.pdf)> [perma.cc/H5FK-YA8B]; Christians & Magalhães, *supra* note 23; David Hanrahan, “Digitalization as a Determinant of Tax Revenues in OECD Countries: A Static and Dynamic Panel Data Analysis” (2021) 7 Athens J Bus & Econ 321, DOI: <<https://doi.org/10.30958/ajbe.7-4-2>>. This push led to complex OECD-led negotiations that eventually produced a compromise on taxation of the digital economy. See OECD, *Pillar One Blueprint*, *supra* note 60. The willingness of many high-income countries, including Canada and France, to take unilateral but potentially disruptive measures to reassert their tax jurisdiction further underscores this point. See Bjarke Smith-Meyer & Elisa Braun, “France Reinstates Digital Tax, Courting Trade War,” *Politico* (14 October 2020), online: <www.politico.eu/article/france-reinstates-digital-tax-courting-trade-war> [perma.cc/VN3X-8AST]; John V Aksak & Jason Carter, “Will the US Withdrawal from the OECD Project on Digital Services Taxation Lead to a Trade War and a Missed deadline?” (22 June 2020), online: *True Partners Consulting* <www.tpctax.com/insights/will-the-us-withdrawal-from-the-oecd-project-on-digital-services-taxation-lead-to-a-trade-war-and-a-missed-deadline> [perma.cc/L5LZ-SKU8]; Jack Purcher, “U.S. Chamber of Commerce Urges the Trump Administration to Block Canada’s Proposed France-Styled Tax on U.S. Tech Companies” (15 November 2019), online: <www.patentlyapple.com/2019/11/us-chamber-of-commerce-urges-the-trump-administration-to-block-canadas-proposed-france-styled-tax-on.html>; PwC, “US Compromises with the UK, France, Italy, Spain and Austria on Digital Services Taxes and Trade Actions” (25 October 2021), online (pdf): <www.pwc.com/gx/en/tax/newsletters/tax-policy-bulletin/assets/pwc-us-compromises-on-dsts-and-trade-actions.pdf> [perma.cc/C7ZJ-B99G]; Lorraine Eden, “Canada and the United States: Winners or Losers from Pillar One Amount A?” (2021) 50 Tax Mgmt Intl J 143; Stephanie Soong Johnston, “USTR Must push Back If Canada Moves on Digital Tax, Senators Say” (14 January 2022), online: <www.taxnotes.com/tax-notes-international/digital-economy/ustr-must-push-back-if-canada-moves-digital-tax-senators-say/2022/01/17/7d37x> [perma.cc/B2AS-A8EU]; Karl Bode, “Europe Moves Forward with Dumb Plan to Tax ‘Big Tech’ To Pad The Pockets of Big Telecom” (13 September 2022), online: <www.techdirt.com/2022/09/13/europe-moves-forward-with-dumb-plan-to-tax-big-tech-to-pad-the-pockets-of-big-telecom>.

201. See *supra* note 23.

202. *Ibid.*

To their credit, some high-income countries—*e.g.*, Canada—have begun to reverse some of the restrictions that are typically imposed on source taxation in their tax treaties with low-income countries.²⁰³ As a result, we are seeing tax treaties between low-income and high-income countries that less severely restrict the source taxing rights of low-income countries.²⁰⁴ We have also seen mainstream political actors in at least one high-income country challenge tax bargains that strip low-income countries of taxing rights.²⁰⁵ These are sensible movements in the direction of allocative justice. On their part, low-income countries also have a responsibility to, where practicable, avoid concluding tax bargains that

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203. See Kim Brooks, “Canada’s Evolving Tax Treaty Policy toward Low-Income Countries” in Arthur J Cockfield, ed, *Globalization and Its Tax Discontents: Tax Policy and International Investments: Essays in Honour of Alex Easson* (University of Toronto Press, 2010) 189 at 191, DOI: <<https://doi.org/10.3138/9781442660021-0111>>.
204. See Veronika Daurer, “Tax Treaties and Developing Countries” (2014) 42 *Intertax* 695, DOI: <<https://doi.org/10.54648/taxi2014062>>; Wim Wijnen & Jan de Goede, “The UN Model in Practice 1997-2013” (2014) 68 *BFIT* 118, DOI: <<https://doi.org/10.59403/1r99e4n>>; Patricia Brown, “How Hard Can This Be? The Dearth of U.S. Tax Treaties with Latin America” (2020) 74 *U Miami L Rev* 359.
205. In 2018, the United Kingdom’s opposition Labour Party challenged the fairness of a newly agreed tax treaty between the country and Lesotho that was introduced to Parliament for ratification. See Anneliese Dodds & Kate Osamor, “Dodds and Osamor: We will fight Tory Attempts to Wave through Tax Treaties while Neglecting the World’s Poorest People” (18 January 2018), online: <labourlist.org/2018/01/dodds-and-osamor-we-will-fight-tory-attempts-to-wave-through-tax-treaties-while-neglecting-the-worlds-poorest-people> [perma.cc/C8DD-FNEM]. According to the policy statement released by party leadership:

Lesotho is one of the world’s poorest countries. The public services supporting its two million people are severely underfunded. Some 25 per cent of people of working age are infected with HIV/AIDS. Britain is Lesotho’s largest individual contributor of foreign direct investment at \$17M: barely notable for Britain, but equivalent to half of Lesotho’s spending commitments in 2018. Anything Britain does to affect Lesotho’s ability to collect tax has enormous consequence for the future of the country.

The treaty Labour examined forces down the amount of tax that Lesotho can collect from British companies and multinationals. It will also require the country to settle any tax disputes using secret international courts, which have been found to work against the interests of developing countries (*ibid*).

See also Jon Date, “Four Questions MPs Must Ask in Parliament Today About the UK-Lesotho Tax Treaty,” *Huffington Post* (10 January 2018), online: <www.huffingtonpost.co.uk/entry/uk-lesotho_uk_5a54982be4b0f9b24bf31a7d> [perma.cc/HA3B-Q3N3].

surrender their tax base.²⁰⁶ While such bargains are usually concluded to attract new investment from high-income countries (and investment hubs),²⁰⁷ studies suggest that the incentives are often not worth the associated lost tax revenue.²⁰⁸

III. CONCLUSION

This article proposes a new way for tax scholars and policymakers to conceptualize international tax equity. We have demonstrated the tendency for inter-nation tax equity scholarship and policymaking to conflate two strands of global justice—the preservation of taxing rights of low-income countries and the provision of tax aid to low-income countries. There is a distinction in terms of the justice case

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206. See Yariv Brauner, “An International Tax Regime in Crystallization” (2003) 56 Tax L Rev 259, DOI: <<https://doi.org/10.17310/ntj.2003.1S.07>>; Brooks & Krever, *supra* note 18; Hearson, “Developing Countries,” *supra* note 19; Catherine Ngina Mutava, “Review of Tax Treaty Practices and Policy Framework in Africa” (2019) International Centre for Tax and Development, Working Paper No 102.
207. See R Alan Short, “Tax Treaties with Developing Countries” (1966) 14 Can Tax J 171.
208. See Jacques Morisset & Neda Pirnia, “How Tax Policy and Incentives Affect Foreign Direct Investment: A Review” (2000) World Bank Group, Working Paper No 2509, DOI: <<https://doi.org/10.1596/1813-9450-2509>>; Louis T Wells Jr et al, *Using Tax Incentives to Compete for Foreign Investment: Are They Worth the Costs?* (World Bank, 2001), DOI: <<https://doi.org/10.1596/0-8213-4992-9>>; Dagan, “Tax Treaties Myth,” *supra* note 188; Neumayer, *supra* note 185; Hearson, “Developing Countries,” *supra* note 19. As noted above, there have been improvements in more recent tax treaties concluded between high-income countries and low-income countries. Several low-income countries have also canceled tax treaties that erode their tax base. See LEX Africa, “The Bonfire of the Tax Treaties” (28 July 2020), online: <lexafrica.com/2020/07/the-bonfire-of-the-tax-treaties> [perma.cc/Q45X-NCAV]; Will Fitzgibbon, “Senegal Nixes ‘Unbalanced’ Tax Treaty with Mauritius” (26 May 2020), online: *International Consortium of Investigative Journalists* <www.icij.org/investigations/mauritius-leaks/senegal-nixes-unbalanced-tax-treaty-with-mauritius> [perma.cc/PKL9-6ZKA]. Further, some low-income countries (e.g., Nigeria and Kenya) have resisted pressure to accept the OECD Two-Pillar tax deal, which would reallocate taxing rights in respect of the digital economy. See Carlos Mureithi, “Why Kenya and Nigeria Haven’t Agreed to a Historic Global Corporate Tax Deal,” *Quartz* (2 November 2021) online: <qz.com/africa/2082754/why-kenya-and-nigeria-havent-agreed-to-global-corporate-tax-deal> [perma.cc/ER3K-NT93]; Johannes Oluwatobi, “Nigeria is not in Hurry to Sign OECD Corporate Tax Agreement — FIRS” (30 November 2021), online: <prnigeria.com/2021/11/30/nigeria-hurry-sign-oecd> [perma.cc/Q7FK-DBYP]. Even some low-income countries that endorsed the deal have refused to accept aspects of the deal that would unduly fetter their taxing rights in the future. See FE Bureau, “India, Others Oppose OECD Plan on Future Digital Taxes” (19 August 2022), online: <www.financialexpress.com/policy/economy-india-others-oppose-oecd-plan-on-future-digital-taxes-2635574> [perma.cc/SB4B-T9FN].

and the relevant tax policy changes to the consequences of framing the issue as “high-income countries *should not rob* low-income countries of taxing rights” or “high-income countries *should transfer tax aid to* low-income countries.”

This article’s second main contribution complements the first. Some of the previous constraints on enhancing international tax equity may be the result of a failure to focus on allocative justice. We dismiss the idea that there is a right initial distribution of taxing rights. We demonstrate that the international tax bargain that allocates taxing rights is a product of political compromise that overlays economists’ understanding of the factors that define a state’s tax jurisdiction. Because the compromise was politically driven, the disparate powers of the forces involved informed some of the lopsided and base-eroding outcomes. Low-income countries have paid the price. A thicker understanding of inter-nation equity that focuses on allocative justice reveals that tax policy proposals, and the international tax framework more generally, must address the ongoing consequences of fiscal imperialism to restore countries’ defensible taxing rights.

